ANTIQUE
DEFENCE COVERAGE

Dhirendra Tiwari
+91 22 6911 3436
dhirendra.tiwari@antiquelimited.com

Sanjeev B Zarbade
+91 22 6911 3421
sanjeev.zarbade@antiquelimited.com

Amit Shah
+91 22 6911 3466
amit.shah@antiquelimited.com

SECTOR UPDATE

India Defence Sector

Record INR 2.2 trn earmarked for capital spending on defence

The defence budget for FY26–27 is pegged at INR 7.84 trn, accounting for 15% of the Union Budget, marking a 15% YoY increase over FY26BE. This allocation stands at 2% of the estimated GDP for FY27E. Of this, allocation for capital spending has been raised by 21.8% over FY26BE to INR 2.19 trn. The share of capital spending in overall defence expenditure has increased to 28%, signaling an improvement in the quality of expenditure. With rising geopolitical tensions, countries—including India—are strengthening their defence preparedness. This provides a tremendous opportunity for domestic Indian defence manufacturers. We maintain BUY rating on HAL, MAZDOCKS, BEL, Solar Industries, and PTC Industries.

Defence allocation on capital spending raised by 21.8% over FY26BE

The defence budget for FY26–27 is pegged at INR 7.84 trn, accounting for 15% of the Union Budget, marking a 15% YoY increase over FY26BE. Of this, allocation for capital spending has been raised by 21.8% over FY26BE to INR 2.19 trn. Given the current geopolitical scenario, a quantum jump in the modernization budget is a must. MoD has earmarked 75% of the capital acquisition budget for procurement through domestic industries during the FY26–27. Our interactions with industry indicate that the budget will not be a constraint for acquisition of weapon systems and double-digit growth in defence capex can be expected in coming years.

DAC approves INR 3.3 trn worth of defence proposals in YTDFY26

For YTDFY26, DAC has accorded Acceptance of Necessity (AoN) for proposals worth approximately INR 3.3 trn under various categories of capital procurement, which promotes domestic manufacturing as per DAP-2020. Thus, approvals have surpassed the FY25 levels of INR 2.2 trn. Approvals have been granted for procurement of— Landing Platform Docks, Mine Counter Measure Vessels, Loitering Munition System for Artillery Regiment, Guided Pinaka Multiple Launch Rocket System, drone detection under MK-II for Indian Army, and Astra MK-II Missiles, among others.

Large order pipeline

The Union Budget 2026–27 has reaffirmed the government resolve on defence preparedness. Concurrently, MoD is working on reducing the procedural timelines in awarding orders. Thus we see major orders getting placed in FY27–28. Key orders for our top picks include:

HAL - Tejas LCA Mk-1A (97 nos), Tejas MKII, AMCA.

MDL – Six submarines under P75I (Est INR 700 bn), three additional submarines under P75 (est. INR 360 bn), and Frigates under P-17B.

BEL - QRSAM (Quick Reaction Surface-to-Air Missile), Next-Generation Corvette (INR 45 bn), LCA (97 aircraft) Avionics Packages (INR 25 bn).

PTC Industries – The company has commissioned VAR and VIM mill in September 2025 for making large titanium castings. The Electron Beam Cold Hearth Refining furnace mill is under construction for re-melting and recycling titanium scrap and producing aviation-grade titanium alloy ingots indigenously.

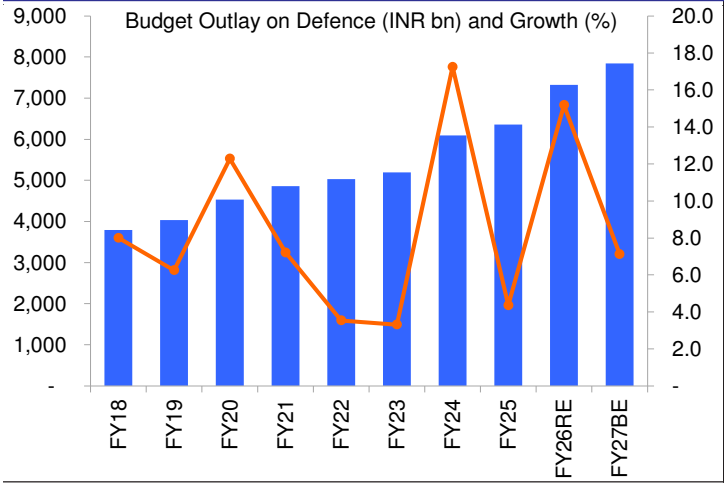
Solar Industries – Pinaka (guided) MBRL system. Anti-Drone Systems and Ammunition shells.

Our View

With project approvals worth INR 3.3 trn in YTDFY26, we believe defence PSUs have strong growth opportunities in the foreseeable timeframe. Hence, we maintain BUY rating on these stocks: PTC Industries with a target price of INR 23,005, INR 532 for BEL, INR 1,667 for BDL, INR 6,346 for HNAL, INR 2,453 for BEML, INR 16,600 for SOIL, INR 1,800 for ZEN, and INR 3,407 for MAZDOCKS.

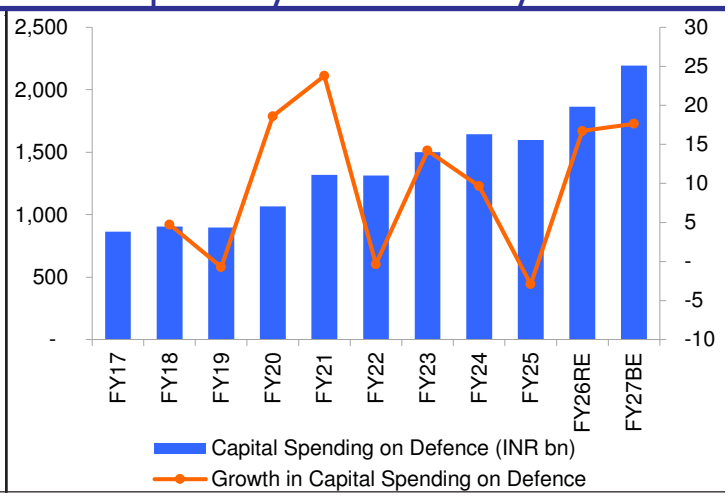
Story in Charts

Exhibit 1: Total Defence Expenditure raised by 7% in 2026-27



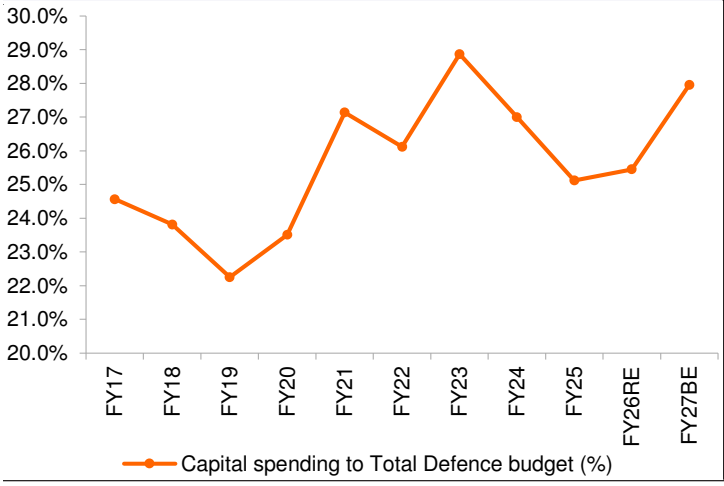
Source: Company, Antique

Exhibit 2: Capital Outlay on Defence raised by 17.7%.



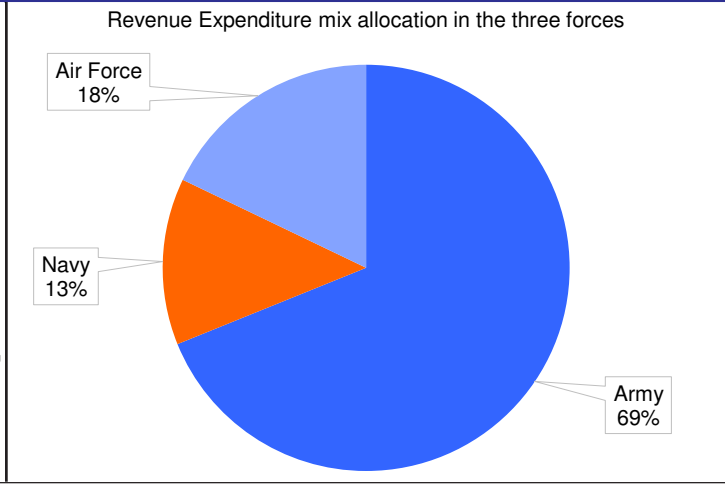
Source: Company, Antique

Exhibit 3: Capital spending is 28% of total Defence Expenditure



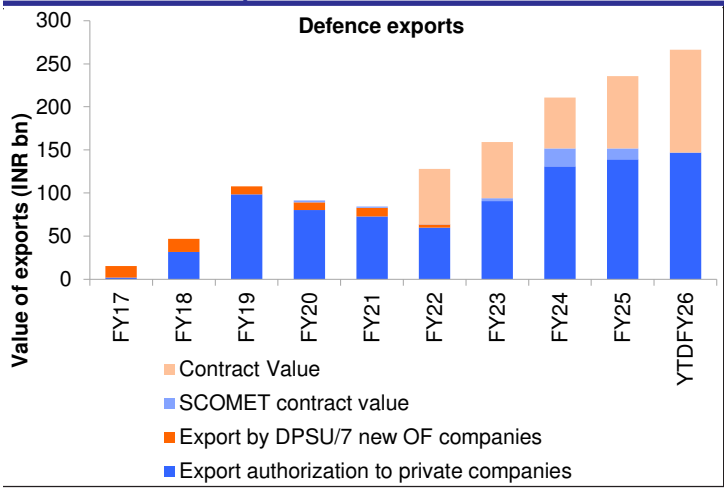
Source: Company, Antique

Exhibit 4: Army accounts for 69% of Defence Revenue expenditure



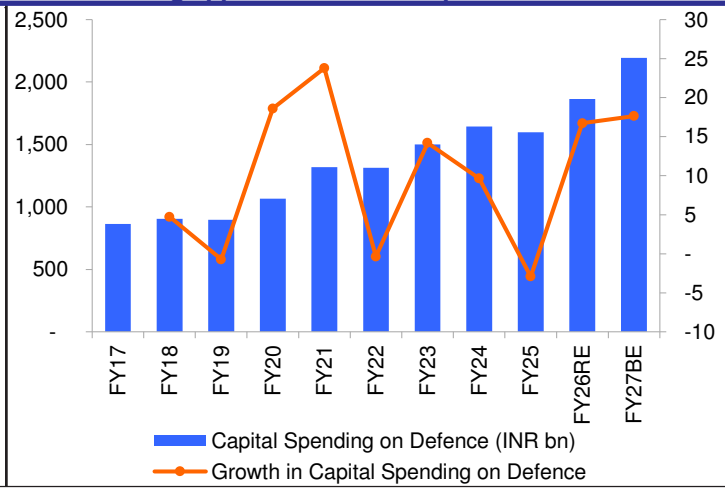
Source: Company, Antique

Exhibit 5: Defence exports have been robust



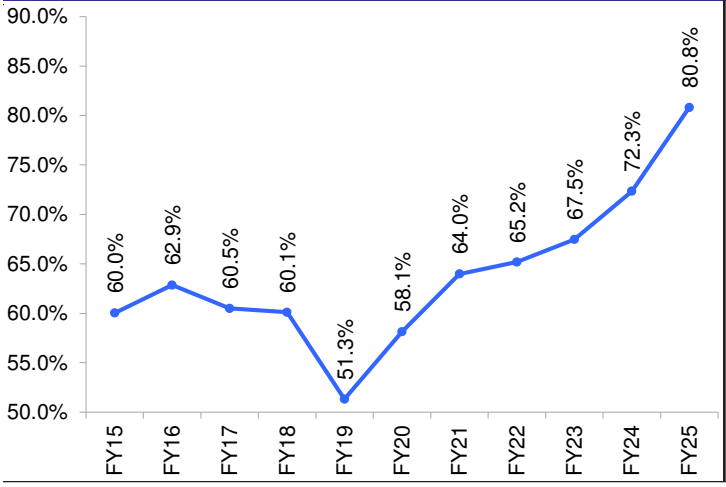
Source: Company, Antique

Exhibit 6: Rising approvals for defence procurements.



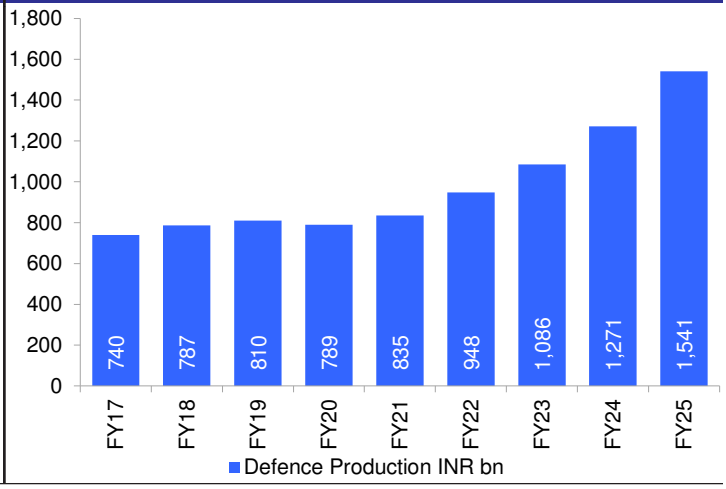
Source: Company, Antique

Exhibit 7: Share of domestic in total procurement



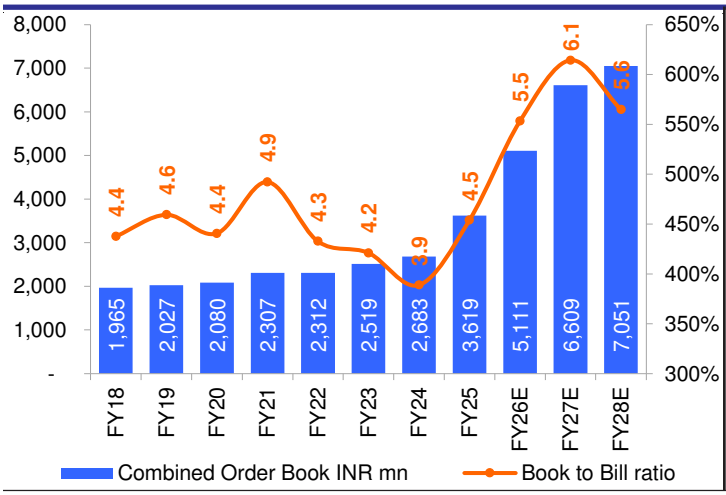
Source: Company, Antique

Exhibit 8: Domestic production of defence equipment (INR bn)



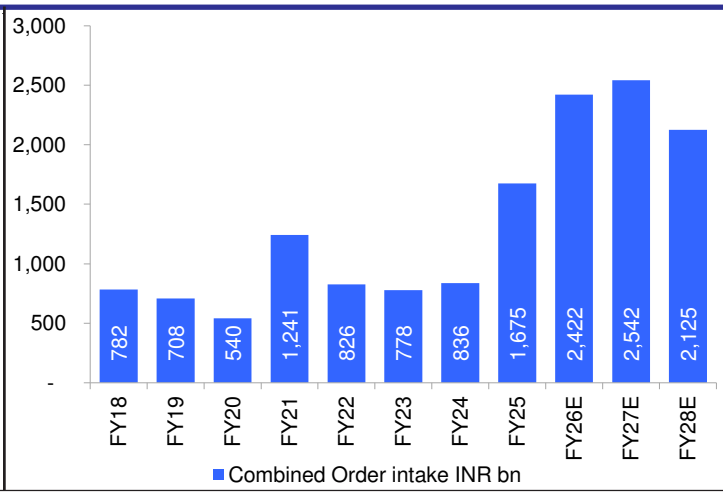
Source: Company, Antique

Exhibit 9: Combined order book of listed defence PSUs



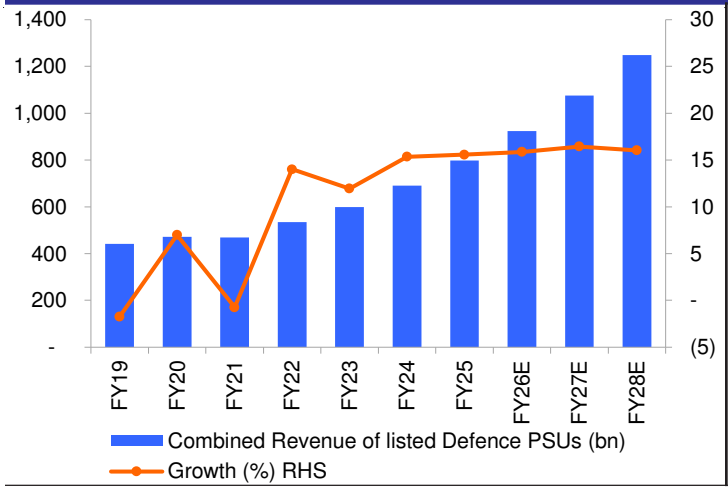
Source: Company, Antique

Exhibit 10: Combined order intake of listed defence PSUs



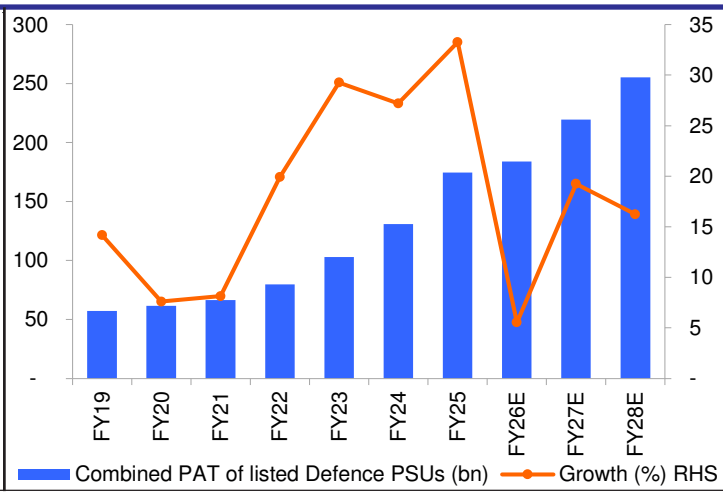
Source: Company, Antique

Exhibit 11: Combined Revenue of listed defence PSUs to grow at 16% CAGR in FY25-28E



Source: Antique, India Budget, Company

Exhibit 12: Combined PAT of listed defence PSUs to grow at 14% CAGR in FY25-28E



Source: Antique, India Budget, Company

VALUATION MATRIX - Capital Goods, Defence & Railways

2 Feb '26

THE INVESTMENT TRUST OF INDIA

ANTIQUE

DEFENCE

Company	FY		Mcap (bn)	CMP/ TP INR / (%)	EV INR bn	Sales INR bn	EBITDA INR bn	PAT INR bn	Margin (%)	EPS INR	EPS Gr (%)	PE (x)	EV/ EBITDA (x)	EV/ Sales (x)	DPS INR	Div. Yd (%)	RoE (%)	RoCE (%)	BVPS INR	P/BV (x)	3 Yr CAGR (%) Sales	EBITDA	PAT
BDL	FY22	1	INR 564	1,538	552	28.17	7.26	5.33	25.8	15	107	106	75	20		-	19	19	83	19	27	29	24
Buy	FY23	2	$6.1	1,729	530	24.89	4.08	3.52	16.4	10	-34	160	129	21	9	0.6	11	12	88	18			
	FY24	3		12%	528	23.69	3.73	4.49	15.7	12	27	126	140	22	5	0.3	13	13	99	16			
	FY25	4	o/s sh (mn)	367	530	33.45	6.14	6.91	18.3	19	54	82	85	22	6	0.4	18	18	109	14			
	FY26e	5			515	42.74	6.19	7.69	14.5	21.0	11	73	82	12	7	0.4	18	18	122	13			
	FY27e	6			517	55.96	10.40	11.24	18.6	30.7	46	50	48	9	9	0.6	23	24	142	11			
	FY28e	7			525	68.08	13.24	13.20	19.4	36.0	17	43	38	8	11	0.6	23	24	165	9			
BEML	FY22	1	INR 149	1,795	143	43.37	3.14	1.35	7.2	16	-10	111	50	3		-	6	6	276	7	16	26	33
Buy	FY23	2	$1.6	2,453	148	38.99	3.65	1.59	9.4	19	18	94	42	4	5	0.3	7	6	287	6			
	FY24	3		37%	153	40.54	4.42	2.83	10.9	34	78	53	34	4	16	0.9	11	12	316	6			
	FY25	4	o/s sh (mn)	84	151	40.22	5.06	2.94	12.6	35	4	51	30	4	3	0.1	11	12	342	5			
	FY26e	5			144	44.35	5.77	3.69	13.0	44.2	26	41	25	3	5	0.3	12	12	380	5			
	FY27e	6			147	52.36	7.82	5.15	14.9	61.6	39	29	18	3	5	0.3	15	15	436	4			
	FY28e	7			150	62.84	10.24	6.91	16.3	82.7	34	22	14	2	5	0.2	17	17	513	4			
BHE	FY22	1	INR 3,282	449	3,239	153.14	33.09	23.49	21.6	3	14	140	97	21		-	21	22	16	27	17	16	15
Buy	FY23	2	$35.8	532	3,242	176.46	40.48	30.07	22.9	4	28	109	79	18	2	0.4	24	25	19	24			
	FY24	3		18%	3,226	201.69	49.98	40.20	24.8	5	34	82	63	16	2	0.5	27	28	22	20			
	FY25	4	o/s sh (mn)	7,310	3,259	237.69	68.34	52.87	28.8	7	32	62	47	16	3	0.6	30	31	27	17			
	FY26e	5			3,173	274.23	78.65	59.83	28.7	8.2	13	55	39	12	3	0.6	28	29	32	14			
	FY27e	6			3,142	320.55	89.96	68.31	28.1	9.3	14	48	34	10	3	0.7	27	28	37	12			
	FY28e	7			3,108	379.17	107.04	80.94	28.2	11.1	18	41	28	8	4	0.7	27	28	44	10			
COCHIN	FY22	1	INR 437	1,660	420	31.90	6.37	5.86	20.0	22	22	74	65	13		-	14	18	166	10	16	15	10
Sell	FY23	2	$4.8	1,461	415	23.30	-0.24	0.00	-1.0	0	11	143	154	18	9	0.5	0	3	168	10			
	FY24	3		-12%	420	38.30	8.69	7.83	22.7	30	30	56	48	11	9	0.5	17	21	190	9			
	FY25	4	o/s sh (mn)	263	420	48.20	8.78	8.27	18.2	31	31	53	47	11	10	0.6	16	20	212	8			
	FY26e	5			415	50.69	6.33	5.32	12.5	20.2	-36	82	65	8	6	0.4	9	13	226	7			
	FY27e	6			420	63.41	10.71	9.13	16.9	34.7	72	48	38	7	10	0.6	15	19	251	7			
	FY28e	7			421	75.47	13.47	11.14	17.9	42.4	22	39	30	6	13	0.9	16	20	280	6			
GRSE	FY22	1	INR 317	2,764	317	17.54	1.40	1.85	8.0	16	20	171	225	18		-	15	18	110	25	23	33	25
Buy	FY23	2	$3.5	3,026	313	25.61	1.69	2.28	6.6	20	23	139	186	12	6	0.2	17	20	123	22			
	FY24	3		9%	317	35.93	2.34	3.57	6.5	31	57	89	134	9	9	0.3	23	28	146	19			
	FY25	4	o/s sh (mn)	115	320	50.76	4.21	5.27	8.3	46	48	60	74	9	14	0.5	28	37	182	15			
	FY26e	5			321	72.24	6.76	7.04	9.4	61.4	33	45	46	4	18	0.7	30	41	225	12			
	FY27e	6			321	94.97	9.45	9.63	9.9	84.1	37	33	33	3	25	0.9	33	44	283	10			
	FY28e	7			323	95.27	9.91	10.25	10.4	89.5	6	31	31	3	27	0.9	28	38	346	8			
HNAL	FY22	1	INR 3,089	4,619	3,010	246.20	55.89	38.94	22.7	58	22	79	53	12		-	22	25	288	16	15	11	10
Buy	FY23	2	$33.7	6,346	2,951	269.28	66.63	58.11	24.7	87	49	53	43	11	55	1.2	27	29	351	13			
	FY24	3		37%	2,926	302.76	81.34	59.90	26.9	90	3	52	35	10	34	0.7	23	26	434	11			
	FY25	4	o/s sh (mn)	669	2,816	309.81	95.97	83.11	31.0	124	39	37	28	9	35	0.8	26	27	521	9			
	FY26e	5			2,730	358.68	101.95	86.25	28.4	129.0	4	36	26	8	39	0.8	23	24	603	8			
	FY27e	6			2,673	405.92	115.99	100.59	28.6	150.4	17	31	22	7	45	1.0	23	24	699	7			
	FY28e	7			2,392	465.78	129.51	111.61	27.8	166.9	11	28	17	5	50	0.8	22	23	806	6			
MAZDOCKS	FY22	1	INR 1,038	2,573	1,034	57.33	4.35	5.35	7.6	13	4	194	236	18		-	17	23	82	31	13	17	18
Buy	FY23	2	$11.3	3,407	1,039	78.27	7.98	10.73	10.2	27	101	97	128	13	8	0.3	29	39	104	25			
	FY24	3		32%	1,048	94.67	14.12	18.45	14.9	46	72	56	73	11	14	0.5	38	52	138	19			
	FY25	4	o/s sh (mn)	403	1,053	114.32	20.60	23.25	18.0	58	26	45	50	11	17	0.7	36	48	178	14			
	FY26e	5			1,043	125.29	23.63	24.97	18.9	61.9	7	42	43	8	19	0.7	31	40	221	12			
	FY27e	6			1,030	135.01	26.99	30.21	20.0	74.9	21	34	37	8	22	0.9	30	39	274	9			
	FY28e	7			1,054	164.63	32.92	38.21	20.0	94.7	26	27	30	6	28	0.8	31	40	340	8			

VALUATION MATRIX - Capital Goods, Defence & Railways

2 Feb '26

Company	FY		Mcap (bn)	CMP/ TP INR / (%)	EV INR bn	Sales INR bn	EBITDA INR bn	PAT INR bn	Margin (%)	EPS INR	EPS Gr (%)	PE (x)	EV/ EBITDA (x)	EV/ Sales (x)	DPS INR	Div. Yd (%)	RoE (%)	RoCE (%)	BVPS INR	P/BV (x)	3 Yr CAGR (%) Sales	EBITDA	PAT
PTCIL	FY22	1	INR 271	18,058	269	1.79	0.42	0.14	23.5	27		658	648	150		-	9	9	322	56	97	135	123
Buy	FY23	2	$3.0	23,005	269	2.19	0.59	0.26	26.7	19	-30	936	464	123	-	-	11	11	229	79			
	FY24	3		27%	268	2.57	0.73	0.42	28.3	29	52	618	373	104	-	-	9	10	447	40			
	FY25	4	o/s sh (mn)	15	267	3.08	0.75	0.62	24.4	41	41	437	355	104	-	-	6	8	925	20			
	FY26e	5			270	7.37	2.02	0.98	27.3	65.3	58	277	134	37	-	-	7	8	991	18			
	FY27e	6			271	12.93	4.61	2.95	35.7	197.0	202	92	58	21	15	0.1	18	19	1,173	15			
	FY28e	7			273	23.63	9.82	6.89	41.6	460.1	134	39	27	12	50	0.2	33	34	1,583	11			
RW	FY22	1	INR 25	380	-	-	-	-	-	-	-	-	-	-		-	-	-	-	-	15	35	57
Buy	FY23	2	0.3	740	25	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-			
	FY24	3		1	25	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-			
	FY25	4	o/s sh (mn)	67	16	19.47	1.76	0.48	9.1	7.2	-	53	13	-	-	-	1	4	625	1			
	FY26e	5			14	22.79	2.39	0.81	10.5	12.2	70	31	10	1	-	-	3	5	450	1			
	FY27e	6			18	25.93	3.33	1.24	12.9	18.7	54	20	7	1	-	-	6	8	478	1			
	FY28e	7			19	29.40	4.32	1.84	14.7	27.7	48	14	5	1	-	-	8	10	520	1			
ZEN	FY22	1	INR 128	1,416	127	0.70	0.05	0.08	6.5	1	-	1,546	2,784	182		-	3	5	31	45	26	23	25
Buy	FY23	2	$1.4	1,799	127	2.19	0.73	0.55	33.2	6	568	231	174	58	-	-	18	27	37	39			
	FY24	3		27%	128	4.40	1.81	1.24	41.1	14	124	103	70	29	1	0.1	31	46	52	27			
	FY25	4	o/s sh (mn)	90	121	9.74	3.74	2.80	38.4	31	127	46	32	28	2	0.1	25	36	192	7			
	FY26e	5			120	7.12	2.59	2.14	36.4	23.7	-24	60	45	17	2	0.1	12	17	216	7			
	FY27e	6			122	14.73	5.30	4.23	36.0	46.8	98	30	22	8	2	0.1	20	28	264	5			
	FY28e	7			120	19.70	6.89	5.49	35.0	60.8	30	23	16	6	2	0.1	21	29	325	4			
SOIL	FY22	1	INR 1,220	13,480	1,214	39.48	7.47	4.41	18.9	49	-	276	165	31		-	25	24	212	64	28	30	31
Buy	FY23	2	$13.3	16,600	1,217	69.23	12.89	7.57	18.6	84	72	161	95	18	8	0.1	33	34	288	47			
	FY24	3		23%	1,217	60.70	13.69	8.36	22.6	92	10	146	90	20	9	0.1	28	30	365	37			
	FY25	4	o/s sh (mn)	91	1,220	75.40	19.60	12.09	26.0	134	45	101	62	20	10	0.1	31	37	485	28			
	FY26e	5			1,227	98.82	27.06	17.29	27.4	191	43	71	45	12	12	0.1	33	40	662	20			
	FY27e	6			1,238	128.85	35.44	22.59	27.5	250	31	54	35	10	14	0.1	32	40	895	15			
	FY28e	7			1,243	157.67	43.16	27.47	27.4	304	22	44	28	8	16	0.1	29	37	1,180	11			

Table 2: Recently cleared projects by the Defence Acquisition Council

Date	Approval value	Project Names
29-12-2025	INR 790	Loiter Munition System for Artillery Regiments
		Long Range Guided Rocket Ammunition for Pinaka Multiple Launch Rocket System (MRLS),
		High Frequency Software Defined Radios (HF SDR)
		High Altitude Long Range (HALE) Remotely Piloted Aircraft System (RPAS)
		Astra Mk-II Missiles
		Full Mission Simulator for Light Combat Aircraft Tejas
23-10-2025	INR 790	Nag Missile System (Tracked) Mk-II (NAMIS)
		Ground Based Mobile ELINT System (GBMES)
		High Mobility Vehicles (HMVs) with Material Handling Crane
		Landing Platform Docks (LPD)
		30mm Naval Surface Gun (NSG)
		Advanced Light Weight Torpedoes (ALWT)
		Collaborative Long Range Target Saturation/Destruction System (CLRTS/DS)
06-08-2025	INR 670	Compact Autonomous Surface Craft
		BrahMos Fire Control System & Launchers
		upgraded BARAK-1 Point Defence Missile System
		Mountain Radars and an upgraded SAKSHAM/SPYDER Weapon System
		Medium Altitude Long Endurance (MALE) Remotely Piloted Aircraft (RPAs)
		Sustenance of C-17 and C-130J fleets and comprehensive annual maintenance contract of S-400 Long Range Air Defence Missile System
		Thermal imager-based Driver Night Sight for the BMP infantry combat vehicles
01-07-2025	INR 1050	Electronic Warfare System
		Quick Reaction Surface-to-Air Missile (QRSAM) systems worth INR 300 bn
		Moored Mines
		Mine Counter Measure Vessels
		Submersible Autonomous Vessels
		Super Rapid Gun Mount
		1350 HP Engine was accorded to upgrade the present 1000 HP Engine for the T-90 Tanks
20th March 2025	INR 540bn	Varunastra Torpedoes (Combat)
		Airborne Early Warning & Control (AEW&C) Aircraft Systems
		31 New Water Jet Fast Attack Crafts (NWJFACs)
		120 Fast Interceptor Craft (FIC-1)
		Electronic Warfare Suite (EWS) comprising External Airborne Self Protection Jammer pods, Next
3rd December 2024	INR 218 bn	Generation Radar Warning Receiver and associated equipment for Su-30 MKI Aircraft
		6 Advanced Light Helicopters (ALH) M (MR)
		Overhaul of T-72 & T-90 tanks, BMP- and engines of Sukhoi fighter aircraft
		Future ready combat vehicles (FRCV)
		Air defence fire control radars
		Forward repair team (Tracked)

Table 2: Recently cleared projects by the Defence Acquisition Council (continue...)

Date	Approval value	Project Names
3rd September 2024	INR 1447 bn	Dornier-228 aircraft
		Next generation fast patrol vessels
		Next generation offshore patrol vessels
		New Gen Anti-Tank Mines
		Canister launched Anti-Armor loiter munition system
		Air defence Tactical Control Radar
		Medium Range maritime reconnaissance and Multi-Mission maritime Aircraft
		Active towed array Sonar
		Heavy weight torpedoes
16th Feb 2024	INR 846 bn	Sustainment support and repair replenishment support for 24 MH60R aircraft
		Flight refueller Aircraft
		Software Defined Radios
		Light Combat Helicopters (LCH) for Indian Army and Indian Air Force
		LCA Mk 1A for IAF
		Upgradation of Su-30 MKI Aircraft
		Area Denial Munition Type 2 and Type 3 (ADM)
		State-of-the-art Towed Gun System (TGS)
		155 mn Nubless projectile for Artillery guns
30th Nov 2023	INR 2,230 bn	Automatic Target Tracker (ATT) and Digital Basaltic Computer (DBC) for T-90 Tanks
		Medium Range Anti-Ship missile (MRAShM) for Indian Navy
		Light Armored Multipurpose Vehicles (LAMV)
		Integrated Surveillance and Targeting System (ISAT-S)
		High Mobility Vehicle (HMV) Gun Towing Vehicles
		Next Generation Survey Vessels
15th Sept 2023	INR 450 bn	Avionic upgradation of Dornier Aircraft
		12 Su-30 MKI Aircraft
		Dhruvastra Short Range Air-to-Surface Missile

Source: PIB, Antique

Top Picks

Hindustan Aeronautics (CMP: INR 4,747, M-Cap: INR 3,175 bn, BUY)

- India is in the midst of modernizing its armed forces due to (1) Obsolescence and (2) The geopolitical situation. The Indian armed forces' order pipeline looks robust with orders worth INR 2 trn expected to be placed by 2030. IAF plans to have a fleet of 42 squadrons (currently 31). The requirement of 11 additional squadrons and replacement of existing squadrons of Mirage 2000, Jaguar & MiG-21 provides HAL with an opportunity to produce 300+ aircrafts, including Tejas Mk-1A, Tejas Mk II, and AMCA (5th Gen), over the next 10-15 years. HAL being a monopoly play in defence aerospace would emerge as one of the key beneficiaries of the ordering momentum.
- HAL's supply chain woes appear to be nearing an end as GE delivered three engines to HAL in the first Half of FY26 and is expected to deliver 9 more in 2HFY26 for the Tejas Mk-IA aircraft. HAL has an order to deliver 83 Tejas Mk-1A aircrafts, execution of which has been hampered over the last two years on account of non-availability of the F-404 engine. HAL's revenue booking for Tejas MK-IA should begin from Oct 2026 as it intends to deliver 2 aircraft in Oct 2026 and manufacturing revenue booking should witness a sharp improvement once the supply chain from GE normalizes as HAL is in the process of scaling up its manufacturing capacity for Tejas Mk-IA to 24 aircrafts to meet IAF's demand. Consistent supply from GE can lead to IAF placing an incremental order for 97 Tejas Mk-1A aircrafts.
- HAL has also entered into a MoU with GE for setting up a manufacturing facility in India to manufacture F414 engine for LCA Tejas MK II aircraft. Post signing of this deal, HAL will receive ~80% transfer of technology (ToT) for the F414 engine with the potential to reach 100% over the next decade. Additionally, HAL is also working on a JV with Safran to co-develop and co-produce turboshaft engines in India with immediate focus on Indian Multi Role Helicopter (IMRH) and Deck-Based Multi-Role Helicopters (DBMRH).
- We retain our positive stance on HAL with a target price of INR 6,346, valuing the company at 40x its 1HFY28E EPS.

Bharat Electronics: (CMP: INR 460, M-Cap: INR 2,940, BUY)

- BEL has been a market leader in the defence electronics segment. With warfare systems now witnessing a considerable increase in electronic components, BEL is expected to benefit materially across key platforms. The company has over a period migrated from being a product manufacturer to a system integrator and has developed a niche position for itself by integrating missile systems for the armed forces. We believe BEL is in a sweet spot given the sharp increase in spending on missile systems like QRSAM and MRSAM, where the company will act as a system integrator.
- QRSAM is INR 300 bn order which is expected to be finalized in 4QFY26/1QFY27 in favor of BEL. The order will significantly improve BEL's order book. This should also help BEL in developing strong revenue visibility from a near to medium term perspective and alleviate growth concerns for the next couple of years. We expect BEL to deliver 17% revenue growth with 15% earnings growth for FY25-28E.
- To ensure the growth trajectory does not face any capacity constraint, BEL has planned an annual capex of INR 7-8 bn over the next 3-4 years on modernizing its facilities and for capacity expansion. Key projects include a) Electro-optical device facility at Nimmaluru, b) A land-based electronic warfare system facility at Ibrahimpatnam, and c) RF seeker manufacturing facility at Palasamudram.
- We retain positive stance on the company and maintain Buy rating on the stock with target price of INR 532 valuing the company at 48x its FY28E EPS.

Mazagon Dockyards and Shipbuilders (CMP: 2,573, M-Cap: INR 1,037 bn, Buy)

- Mazagon Docks is the only shipyard with expertise in construction of complex vessels, including submarines. It can also build large surface warships like Destroyers and Frigates, besides oil rigs and offshore platforms for ONGC.

- The company has commenced contractual negotiations with the Indian Navy for the Submarine Project P-75(I), which involves the indigenous construction of six submarines.
- In our view, this is a positive development and should allay investor concerns with respect to delay in order finalization. Given the government's focus on reducing ordering timelines, we expect this order to be placed in FY26, which should provide good revenue visibility for the company in the medium term.
- We also remain optimistic that an order for three additional Scorpene submarines would be placed with Mazdock on nominated basis. These two orders could total up to INR 1.0-1.05 trn, more than 3x the current order book of INR 270 bn.

PTC Industries (CMP 18,107, M-Cap 271 bn, BUY)

- PTC Industries (through its 100% subsidiary-Aerolloys Technologies) is well on track, possibly ahead of schedule, to complete its mega Strategic Material Technology Complex at Lucknow. It is among the world's largest integrated single-site titanium recycling and remelting facility (based on Vacuum Arc Re-melting [VAR] and Electron Beam Cold Hearth Re-melting [EBCHR] technologies), super alloy melting, along with value-added titanium casting and machining, and forging/ rolling product mills for global aerospace and defence applications.
- At near optimal and full utilization of the under-implementation mega aerospace materials complex, the company's consolidated revenue can grow 10-20x in 5-6 years (implying INR 35 bn to INR 70 bn by FY30). A significant mix of revenue will lead to high EBITDA margin of +50% for the casting segment.
- We project the company to deliver an EBITDA of INR 9.82 bn in FY28E and INR 23 bn in FY30E, resulting in significant RoCE and free cash flows. Net profit is expected to grow by over 11x (from FY25 level) to INR 6.88 bn in FY28E and INR 16 bn by FY30E. Given the formidable moat and entry barrier, sharp earnings growth and superior RoCE, PTC will trade at a significant premium in years to come.
- We reiterate BUY with an unchanged target price of INR 23,005, based on 50x FY28E earnings. At the target price, the stock is valued at 26x FY29E and 20x FY30E earnings, which is significantly lower than the global peer set—especially considering the fact that PTC's growth story will likely accelerate further beyond FY30E.

Solar Industries (CMP 13,475, M-Cap 1,219 bn, BUY)

- Solar Industries (SOIL) has a market leadership in industrial explosives in India and has a rising footprint in the International market.
- The industrial explosives segment is a steady growth story led by rising mining activity to meet the need for minerals and metals across many industries; with impetus being provided by rising exports and nine manufacturing units in key markets with good mining activity like Australia /KSA /Turkey /MENA and Kazakhstan.
- However, the growth driver will be the Defence segment, as Solar Industries is well-positioned to deliver next-generation defence technologies to international markets. It is targeting to move up the explosives, defence and aerospace value chain from supplying materials to delivering complete solutions and integrated platforms. Some of the future product developments include proximity fuse, high performance UAVs, UAS, C-UAS for surveillance and defence against aerial threats.
- Current order book in the Defence segment stands at an Estimated INR 191 bn (9MFY26), which provides revenue visibility of 11x, based on trailing 12M revenues. We believe SOIL will continue to witness strong growth momentum across businesses and margins are likely to remain stable over next 12-24 months. We expect SOIL's sales and PAT to grow at 28% and 31% over FY25-28E respectively (18% and 23% CAGR over FY15-25). SOIL has RoE/pretax RoCE of 31%/37% (FY25).

CMP	: INR 425
Reco	: BUY ↔
Target	: INR 532 ↔
Target Price Change	: No Change
Target FY28e P/E (x)	: 48
EPS Change FY26/ 27/ 28	: No Change

COMPANY UPDATE

Bharat Electronics

Electronics that empowers security

Headquartered in Bengaluru, Bharat Electronics Limited (BEL) is India's leading electronic warfare production house, delivering airborne self-protection suites, land/ naval EW systems, and integrated electronic intelligence solutions. Its C4I products form the backbone of network-centric warfare capabilities. Further, BEL co-develops technologies like IR seekers, photonics-based EW, quantum radars, and stealth detection systems in partnership with DRDO labs. The company operates through nine manufacturing facilities located across India. BEL has over the years developed multiple levers of growth by a) Establishing robust infrastructure, b) Strong relationship with government entities, c) Diversifying into non-defence businesses to create new growth avenues, d) Installation of new factories, e) Increased focus on R&D. We continue to maintain BUY rating with a revised TP of INR 532 (48x its FY28E EPS) as against the earlier target price of INR 502 (48x its 1HFY28E EPS).

Dhirendra Tiwari
+91 22 6911 3436
dhirendra.tiwari@antiquelimited.com

Amit Shah
+91 22 6911 3466
amit.shah@antiquelimited.com

Market data

Sensex	:	80,723
Sector	:	Defence
Market Cap (INR bn)	:	3,109.2
Market Cap (USD bn)	:	33.799
O/S Shares (mn)	:	7,309.8
52-wk HI/LO (INR)	:	462/240
Avg. Daily Vol ('000)	:	38,402
Bloomberg	:	BHE IN

Source: Bloomberg

Valuation

	FY26e	FY27e	FY28e
EPS (INR)	8.2	9.3	11.1
P/E (x)	51.9	45.5	38.4
P/BV (x)	13.4	11.4	9.7
EV/EBITDA (x)	37.1	32.0	26.4
Dividend Yield (%)	0.7	0.8	0.9

Source: Company, Antique

Returns (%)

	1m	3m	6m	12m
Absolute	7	(0)	13	51
Relative	14	4	13	45

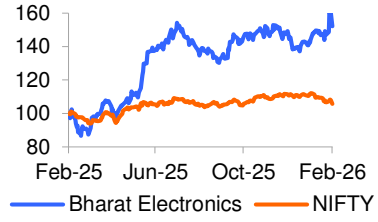
Source: Bloomberg

Shareholding pattern

Promoters	:	51%
Public	:	49%
Others	:	0%

Source: Bloomberg

Price performance *vs* Nifty



Source: Bloomberg Indexed to 100

Strong order book; future order pipeline provides comfort

BEL reported order inflow worth INR 56.8 bn (+151% YoY) in 3QFY26 and 9MFY26 order inflow came in at INR 187 bn witnessing a growth of 92% YoY. The order backlog was robust at INR 730 bn (+3% YoY) providing revenue visibility of 2.8x its TTM revenue. BEL expects an order inflow of INR 270 bn in FY26 (ex-QRSAM) given the strong ordering pipeline: i) LRSAM, ii) Long range Ashwani radars, iii) Shakti Electronic warfare system, iv) Fuse for ships; v) Akash Prime; vi) BMP upgrade which will ensure more than INR 250 bn annual ordering for BEL. Incrementally, the large-ticket orders like QRSAM (INR 300 bn) and next generation corvette/ MRSAM (INR 145 bn) are also expected to be finalized in FY26.

R&D spends to help maintain growth momentum

BEL consistently spends 6%-10% of its annual revenue on research and development. The R&D expenditure is primarily towards indigenization and value addition in its product portfolio. This level of investment is among the highest within DPSUs and underlines a sustained focus on building intellectual property across radars, secure communications, and advanced sensor suites. The company has till date filed 1,350 IPRs including 777 patents, of which 151 IPRs including 86 patents were filed in FY25 alone.

Capex plan in place to ensure sustainable growth

BEL has planned an annual capex of INR 10 bn for FY26 and INR 24 bn over the next 3–4 years for modernizing its facilities and for capacity expansion. Key projects include a) Electro-optical device facility at Nimmaluru (IR seeker manufacturing facility), b) A land-based electronic warfare system facility at Ibrahimpatnam, and c) RF seeker manufacturing facility at Palasamudram. Additionally, BEL is also upgrading its Hyderabad facility. These expansions will help BEL generate a new stream of revenue, expand margins, and be prepared for the next level of growth.

Investment Summary

BEL has over the years developed multiple levers of growth by a) Establishing robust infrastructure, b) Strong relationship with government entities, c) Diversifying into non-defence businesses to create new growth avenues, d) Installation of new factories, e) Increased focus on R&D. We continue to maintain BUY rating with a revised TP of INR 532 (48x its FY28E EPS) as against the earlier target price of INR 502 (48x its 1HFY28E EPS).

Financials (Bharat Electronics)

Profit and loss account (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Net Revenue	**2,01,694**	**2,37,688**	**2,74,228**	**3,20,546**	**3,79,167**
Op. Expenses	1,51,712	1,69,351	1,95,582	2,30,588	2,72,128
Gross Profit	96,035	1,15,815	1,32,452	1,50,657	1,75,934
EBITDA	**49,982**	**68,337**	**78,645**	**89,958**	**1,07,039**
Depreciation	4,124	4,674	5,030	5,992	6,502
EBIT	**45,857**	**63,663**	**73,615**	**83,966**	**1,00,538**
Other income	7,558	7,424	6,830	7,854	8,247
Interest Exp.	70	97	105	105	105
Reported PBT	**53,346**	**70,990**	**80,340**	**91,715**	**1,08,680**
Tax	13,146	18,119	20,505	23,408	27,738
Reported PAT	**40,200**	**52,871**	**59,835**	**68,307**	**80,942**
Net Profit	**40,200**	**52,871**	**59,835**	**68,307**	**80,942**
Adjusted PAT	**40,200**	**52,871**	**59,835**	**68,307**	**80,942**
Adjusted EPS (INR)	**5.5**	**7.2**	**8.2**	**9.3**	**11.1**

Balance sheet (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Share Capital	7,310	7,310	7,310	7,310	7,310
Reserves & Surplus	1,53,514	1,89,667	2,24,972	2,65,275	3,13,033
Networth	**1,60,824**	**1,96,977**	**2,32,281**	**2,72,585**	**3,20,343**
Net deferred Tax liabilities	(5,742)	(5,341)	(5,341)	(5,341)	(5,341)
Capital Employed	**1,55,082**	**1,91,636**	**2,26,940**	**2,67,244**	**3,15,002**
Gross Fixed Assets	60,047	64,489	70,489	76,489	82,489
Accumulated Depreciation	28,084	32,758	37,788	43,780	50,282
Capital work in progress	4,538	10,436	10,436	10,436	10,436
Net Fixed Assets	**36,500**	**42,167**	**43,137**	**43,145**	**42,644**
Investments	7,678	8,204	8,204	8,204	8,204
Non Current Investments	7,678	8,204	8,204	8,204	8,204
Current Assets, Loans & Adv.	**3,41,637**	**3,48,469**	**4,82,781**	**5,74,961**	**6,88,886**
Inventory	74,076	90,697	1,04,640	1,22,314	1,44,682
Debtors	73,622	90,920	1,04,897	1,22,614	1,45,038
Cash & Bank balance	1,09,681	93,973	1,89,161	2,31,747	2,82,906
Loans & advances and others	84,258	72,880	84,083	98,285	1,16,260
Current Liabilities & Provisions	**2,30,733**	**2,07,204**	**3,07,182**	**3,59,066**	**4,24,732**
Liabilities	2,14,232	1,90,956	2,88,436	3,37,154	3,98,812
Provisions	16,500	16,248	18,746	21,913	25,920
Net Current Assets	**1,10,904**	**1,41,265**	**1,75,599**	**2,15,894**	**2,64,154**
Application of Funds	**1,55,082**	**1,91,636**	**2,26,940**	**2,67,244**	**3,15,002**

Per share data

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
No. of shares (mn)	7,310	7,310	7,310	7,310	7,310
Diluted no. of shares (mn)	7,310	7,310	7,310	7,310	7,310
BVPS (INR)	22.0	26.9	31.8	37.3	43.8
CEPS (INR)	6.1	7.9	8.9	10.2	12.0
DPS (INR)	2.2	2.5	2.9	3.3	3.9

Source: Company, Antique

Cash flow statement (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
PBT	**53,346**	**70,990**	**80,340**	**91,715**	**1,08,680**
Depreciation & amortization	4,124	4,674	5,030	5,992	6,502
Interest expense	70	97	105	105	105
(Inc)/Dec in working capital	7,694	(46,068)	60,854	2,291	2,899
Tax paid	(13,146)	(18,119)	(20,505)	(23,408)	(27,738)
CF from operating activities	**52,089**	**11,574**	**1,25,824**	**76,694**	**90,447**
Capital expenditure	(5,490)	(10,341)	(6,000)	(6,000)	(6,000)
Inc/(Dec) in investments	(1,034)	(526)	-	-	-
CF from investing activities	**(6,524)**	**(10,867)**	**(6,000)**	**(6,000)**	**(6,000)**
Inc/(Dec) in share capital	2,878	5,357	-	-	-
Dividend Paid	(18,781)	(21,676)	(24,530)	(28,004)	(33,184)
Others	(70)	(97)	(105)	(105)	(105)
CF from financing activities	**(15,974)**	**(16,415)**	**(24,635)**	**(28,109)**	**(33,289)**
Net cash flow	**29,591**	**(15,708)**	**95,188**	**42,586**	**51,159**
Opening balance	80,090	1,09,681	93,973	1,89,161	2,31,747
Closing balance	**1,09,681**	**93,973**	**1,89,161**	**2,31,747**	**2,82,906**

Growth indicators (%)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Revenue	14.3	17.8	15.4	16.9	18.3
EBITDA	23.5	36.7	15.1	14.4	19.0
Adj PAT	33.7	31.5	13.2	14.2	18.5
Adj EPS	33.7	31.5	13.2	14.2	18.5

Valuation (x)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
P/E (x)	77.3	58.8	51.9	45.5	38.4
P/BV (x)	19.3	15.8	13.4	11.4	9.7
EV/EBITDA (x)	60.0	44.1	37.1	32.0	26.4
EV/Sales (x)	14.9	12.7	10.6	9.0	7.4
Dividend Yield (%)	0.5	0.6	0.7	0.8	0.9

Financial ratios

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
RoE (%)	27.1	29.6	27.9	27.1	27.3
RoCE (%)	28.2	30.5	28.6	27.7	27.8
Asset/T.O (x)	1.5	1.4	1.4	1.3	1.3
Net Debt/Equity (x)	(0.7)	(0.5)	(0.8)	(0.9)	(0.9)
EBIT/Interest (x)	760.9	734.4	766.1	874.5	1,036.0

Margins (%)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
EBITDA Margin	24.8	28.8	28.7	28.1	28.2
EBIT Margin	22.7	26.8	26.8	26.2	26.5
PAT Margin	19.2	21.6	21.3	20.8	20.9

Source: Company Antique

CMP	: INR 4,378
Reco	: BUY ↔
Target Price	: INR 6,346 ↔
Target Price Change	: No Change
Target FY28e P/E (x)	: 40
EPS Change FY26/ 27/ 28	: No Change

COMPANY UPDATE

Hindustan Aeronautics

Strategic aerospace manufacturing leader

Dhirendra Tiwari
+91 22 6911 3436
dhirendra.tiwari@antiquelimited.com

Amit Shah
+91 22 6911 3466
amit.shah@antiquelimited.com

Hindustan Aeronautics (HNAL) is India's largest aerospace and defence public sector enterprise and a cornerstone of the country's indigenous aviation capabilities. Headquartered in Bengaluru, HNAL is engaged in the design, development, manufacturing, and maintenance of aircraft, helicopters, aero engines, avionics, and related systems for the Indian Air Force, Navy, Army, and civil customers. The company operates an extensive manufacturing and R&D footprint across India, enabling end-to-end capabilities from design to lifecycle support. We believe that HNAL with its long-term business outlook and strong execution capabilities is well on track to report 15% revenue CAGR over FY25–28E. Given the multi-year double-digit earnings growth potential and robust return ratio profile of +20%, we believe that the stock is attractively valued. We retain BUY rating with a TP of INR 6,360, valuing the stock at a PE of 40x FY28E earnings.

Sustained capex and R&D investments reinforce indigenous capabilities

HNAL plays a crucial role in ensuring India's strategic autonomy, indigenization ambitions and self-reliance in aerospace manufacturing. While import dependency and supply chain bottlenecks have posed challenges historically; higher local content, stronger vendor base, and deeper in-house capability to help mitigate the challenges. R&D spends of 6%-8% of sales and has pushed indigenous content to +55% across key platforms. Furthermore, HNAL continues to strengthen collaboration with Indian private sector and global OEMs through ToT, joint development, and co-production.

Robust order book; pipeline looks equally promising

HNAL's order book at the end of 2QFY26 stood at ~INR 2.85 trn supported by manufacturing orders (INR 1 trn) and RoH (INR 175 bn), AL-31FP engines for Sukhoi-30 (INR 255 bn), LCH Prachand (INR 628 bn), Sukhoi-30 MKI aircraft (INR 134.5 bn), and 97 LCA Mk-1A (INR 623 bn). Incrementally, the order pipeline also looks very promising with anticipated contracts for Do-228 (10 nos.), 43 ALH Dhruv, 60 utility helicopters for marine. The estimated value of the order pipeline stands at INR 1.0 trn and is expected to materialize over the next one to two years. We are expecting an addressable pipeline of INR 4.5 trn over the next 4-5 years. This could fructify with the finalization of large-scale platforms like additional Tejas LCA Mk-1A (97 nos), Tejas MK-II, AMCA & TEDBF with RoH orders worth INR 200 bn keeping manufacturing lines busy till FY32 and providing robust revenue visibility in the medium to long term.

ROH and Spares: Scaling an aftermarket opportunity

HNAL's Repair and Overhaul (ROH) and Spares segment is gradually evolving into a strong, high-margin, and steady revenue contributor. Historically, this segment constituted a relatively modest portion of HNAL's revenue due to greater share of aircraft operated of foreign origin with servicing often managed through OEM tie-ups. Now, as indigenous platforms like Su-30 MKI, ALH, LCA, and others are inducted at scale, the cumulative fleet based expanded significantly, paving the way for consistent and rising ROH opportunities.

Investment Summary

We believe that HNAL with its long-term business outlook and strong execution capabilities is well on track to report 15% revenue CAGR over FY25–28E. Given the multi-year double-digit earnings growth potential and robust return ratio profile of +20%, we believe that the stock is attractively valued. We retain BUY rating with a TP of INR 6,360, valuing the company at a PE of 40x FY28E earnings.

Market data

Sensex	:	80,723
Sector	:	Defense
Market Cap (INR bn)	:	2,927.2
Market Cap (USD bn)	:	31.820
O/S Shares (mn)	:	668.8
52-wk HI/LO (INR)	:	5166/3046
Avg. Daily Vol ('000)	:	1,398
Bloomberg	:	HNAL IN

Source: Bloomberg

Valuation

	FY26e	FY27e	FY28e
EPS (INR)	129.0	150.4	166.9
P/E (x)	33.9	29.1	26.2
P/BV (x)	7.3	6.3	5.4
EV/EBITDA (x)	24.1	20.5	16.1
Dividend Yield (%)	0.9	1.0	1.1

Source: Bloomberg

Returns (%)

	1m	3m	6m	12m
Absolute	(0)	(6)	(1)	16
Relative	6	(3)	(2)	11

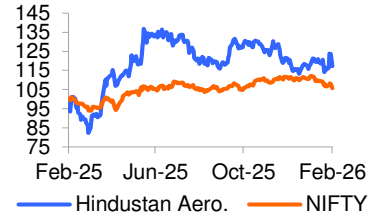
Source: Bloomberg

Shareholding pattern

Promoters	:	72%
Public	:	28%
Others	:	0%

Source: Bloomberg

Price performance *vs* Nifty



Source: Bloomberg Indexed to 100

Financials (Hindustan Aeronautics)

Profit and loss account (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Net Revenue	**3,02,760**	**3,09,809**	**3,58,684**	**4,05,918**	**4,65,777**
Op. Expenses	2,21,419	2,13,840	2,56,734	2,89,924	3,36,271
Gross Profit	1,92,000	1,86,684	2,06,243	2,27,314	2,51,520
EBITDA	**81,340**	**95,969**	**1,01,950**	**1,15,994**	**1,29,505**
Depreciation	14,065	13,397	16,479	18,702	20,114
EBIT	**67,276**	**82,572**	**85,471**	**97,293**	**1,09,392**
Other income	18,985	25,655	26,622	33,768	36,020
Interest Exp.	321	86	86	86	86
Extra Ordinary Items-gain/(loss)	15,000	59	-	-	-
Reported PBT	**1,00,941**	**1,08,200**	**1,12,007**	**1,30,975**	**1,45,326**
Tax	26,039	25,032	25,762	30,386	33,716
Reported PAT	**74,902**	**83,168**	**86,246**	**1,00,588**	**1,11,610**
Net Profit	**74,902**	**83,168**	**86,246**	**1,00,588**	**1,11,610**
Adjusted PAT	**59,902**	**83,109**	**86,246**	**1,00,588**	**1,11,610**
Adjusted EPS (INR)	**89.6**	**124.3**	**129.0**	**150.4**	**166.9**

Balance sheet (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Share Capital	3,344	3,344	3,344	3,344	3,344
Reserves & Surplus	2,87,120	3,45,085	4,00,178	4,64,434	5,35,731
Networth	**2,90,464**	**3,48,429**	**4,03,522**	**4,67,778**	**5,39,075**
Debt	4	4	4	4	4
Net deferred Tax liabilities	(14,543)	(15,680)	(15,680)	(15,680)	(15,680)
Capital Employed	**2,75,924**	**3,32,752**	**3,87,846**	**4,52,102**	**5,23,398**
Gross Fixed Assets	1,81,566	1,71,727	2,21,066	2,52,566	2,60,566
Accumulated Depreciation	98,701	1,12,098	1,30,246	1,48,947	1,69,061
Capital work in progress	9,358	10,911	9,358	9,358	9,358
Net Fixed Assets	**92,224**	**70,540**	**1,00,179**	**1,12,977**	**1,00,864**
Investments	14,971	16,274	14,825	14,825	14,825
Non Current Investments	14,971	16,274	14,825	14,825	14,825
Current Assets, Loans & Adv.	**6,58,100**	**9,58,638**	**9,47,078**	**10,94,724**	**13,09,331**
Inventory	1,32,259	2,16,757	1,79,587	2,10,410	2,52,413
Debtors	1,65,106	46,475	1,85,614	2,10,057	71,025
Cash & Bank balance	2,64,218	3,81,708	4,71,026	5,47,452	8,42,436
Loans & advances and others	96,516	3,13,698	1,10,851	1,26,805	1,43,458
Current Liabilities & Provisions	**4,89,369**	**7,12,699**	**6,74,236**	**7,70,424**	**9,01,622**
Liabilities	3,97,624	6,09,961	5,68,739	6,51,829	7,67,254
Provisions	91,745	1,02,739	1,05,497	1,18,596	1,34,368
Net Current Assets	**1,68,730**	**2,45,939**	**2,72,842**	**3,24,300**	**4,07,710**
Application of Funds	**2,75,925**	**3,32,752**	**3,87,846**	**4,52,101**	**5,23,398**

Per share data

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
No. of shares (mn)	669	669	669	669	669
Diluted no. of shares (mn)	669	669	669	669	669
BVPS (INR)	434.3	521.0	603.4	699.4	806.1
CEPS (INR)	110.6	144.3	153.6	178.4	197.0
DPS (INR)	33.6	35.0	38.7	45.1	50.1

Source: Company, Antique

Cash flow statement (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
PBT	**75,950**	**1,08,141**	**1,12,007**	**1,30,975**	**1,45,326**
Depreciation & amortization	14,214	13,397	16,479	18,702	20,114
Interest expense	321	86	86	86	86
(Inc)/Dec in working capital	(31,220)	40,281	62,415	24,968	2,11,574
Tax paid	(19,693)	(26,169)	(25,762)	(30,386)	(33,716)
Less: Interest/Div. Income Recd.	(16,363)	(25,655)	(26,622)	(33,768)	(36,020)
Other operating Cash Flow	59,049	-	-	-	-
CF from operating activities	**82,257**	**1,10,081**	**1,38,603**	**1,10,576**	**3,07,364**
Capital expenditure	(17,549)	8,287	(47,787)	(31,500)	(8,000)
Inc/(Dec) in investments	(1,120)	(1,303)	1,449	-	-
Add: Interest/Div. Income Recd.	17,477	25,655	26,622	33,768	36,020
CF from investing activities	**(64,117)**	**32,698**	**(18,047)**	**2,268**	**28,020**
Dividend Paid	(19,729)	(30,040)	(31,152)	(36,333)	(40,314)
Others	62,745	4,750	(86)	(86)	(86)
CF from financing activities	**43,017**	**(25,290)**	**(31,238)**	**(36,419)**	**(40,400)**
Net cash flow	**61,157**	**1,17,490**	**89,318**	**76,426**	**2,94,984**
Opening balance	2,03,062	2,64,218	3,81,708	4,71,026	5,47,452
Closing balance	**2,64,219**	**3,81,708**	**4,71,026**	**5,47,452**	**8,42,436**

Growth indicators (%)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Revenue	12.4	2.3	15.8	13.2	14.7
EBITDA	22.1	18.0	6.2	13.8	11.6
Adj PAT	3.1	38.7	3.8	16.6	11.0
Adj EPS	3.1	38.7	3.8	16.6	11.0

Valuation (x)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
P/E (x)	48.9	35.2	33.9	29.1	26.2
P/BV (x)	10.1	8.4	7.3	6.3	5.4
EV/EBITDA (x)	32.7	26.5	24.1	20.5	16.1
EV/Sales (x)	8.8	8.2	6.8	5.9	4.5
Dividend Yield (%)	0.8	0.8	0.9	1.0	1.1

Financial ratios

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
RoE (%)	22.8	26.0	22.9	23.1	22.2
RoCE (%)	25.6	27.3	24.0	24.0	22.9
Asset/T.O (x)	1.3	1.1	1.0	1.0	1.0
Net Debt/Equity (x)	(0.9)	(1.1)	(1.2)	(1.2)	(1.6)
EBIT/Interest (x)	269.1	1,255.5	1,300.4	1,520.4	1,686.9

Margins (%)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
EBITDA Margin	26.9	31.0	28.4	28.6	27.8
EBIT Margin	22.2	26.7	23.8	24.0	23.5
PAT Margin	19.8	26.8	24.0	24.8	24.0

Source: Company Antique

CMP	: INR 13,213
Reco	: BUY ↔
Target Price	: INR 16,600 ↔
Target Price Change	: No Change
Target FY28e P/E (x)	: 55
EPS Change FY26/ 27/ 28	: No Change

COMPANY UPDATE

Solar Industries India

Overseas business and defence to drive growth

Solar Industries (SOIL) is a market leadership in industrial explosives in India and has a rising footprint in the International market. The industrial explosives segment is a steady growth story led by rising mining activity to meet the need for minerals and metals across many industries with impetus being provided by rising exports and nine manufacturing units in key markets with good mining activity like Australia/ KSA/ Turkey/ MENA and Kazakhstan. However, the growth driver will be the defence segment, as Solar Industries is well-positioned to deliver next-generation defence technologies to international markets. Management envisages revenue CAGR of 15% over next 3-4years led by overseas and defence business. We believe SOIL will continue to witness strong growth momentum across businesses and margins are likely to remain stable over next 12-24 months. We expect SOIL's sales and PAT to grow at 28% and 31% over FY25-28E respectively (18% and 23% CAGR over FY15-25). SOIL has RoE/ pretax RoCE of 31%/ 37% (FY25). We maintain our earnings estimates and retain BUY with an unchanged target price of INR 16,600, based on 55x FY28E (earlier 60x 1HFY28E).

Sanjeev B Zarbade
+91 22 6911 3421
sanjeev.zarbade@antiquelimited.com

Domestic business (43% of FY25 revenue) led by Coal and Infrastructure sector growth

Domestic business (CIL and Housing and Infra) was impacted by excessive and prolonged rainfall in 1HFY26. Demand from the coal mining sector accounts for almost 13% of the consolidated revenue. We see that coal production in November 2025 has increased by 2.06%, while it has declined in April-Nov 2025 period by 1.43% YoY. The IIP-based index of mining production has also remained in the negative (-1.9%) in April-Oct 2025 period. However, management believes that the domestic business is recovering. Given the substantial room for growth in the domestic business, we expect the company to achieve domestic sales CAGR of 10% over FY25-28E (FY16-25 CAGR of 12.7%).

Overseas business (38% of FY25 revenue) - expansion in new geographies to propel growth

Presently, SOIL has overseas manufacturing presence in several countries - Nigeria, Zambia, Ghana, Tanzania, Zimbabwe, South Africa, Indonesia, Thailand, and Turkey. Growth momentum in South Africa, Turkey, Ghana, Nigeria, and Tanzania remains healthy. The company is also going to start operations in Zimbabwe and Kazakhstan. Besides this, the company aims to enter the Saudi Arabian market. SOIL's overseas revenue grew at CAGR of 22.5% over FY16-25 and we expect it to sustain robust growth rates in the future as well, driven by ramp-up in existing locations and entry into new geographies.

Defence (18% of FY25 revenue) - gaining momentum led by large order book

SOIL's defence segment includes (a) High energy materials (HMX, RDX, TNT and compounds), b) Composite propellants, c) Ammunitions and fuzes, and d) Rockets, warheads, and missiles. In defence, the company has been able to build an order book of INR 166 bn, led by addition of INR 60 bn order for Pinaka Mk1 rockets. With more versions of Pinaka MBRL to follow (120 KM, 300 KMs, Pinaka-Guided, Pinaka-Anti Tank, etc), we expect the company to be well-placed to win more orders. The Solar group is strategically positioning itself as a "global supply chain partner" in the defence sector, with growth propelled by strong order book and the commencement of Pinaka rocket sales from the third quarter. We expect revenues from the defence segment to grow at a CAGR of 64% during FY25-28E.

Investment Summary

Being a market leader in the highly regulated domestic explosives industry with huge entry barriers, SOIL is well-positioned for robust growth with multiple levers in place. We are positive on SOIL's operational performance backed by stimulating industry growth, robust track record, and strong balance sheet. We expect SOIL to deliver EBITDA/ net profit CAGR of 20%/ 27% over FY25-28E. Maintain BUY with an unchanged target price of INR 16,600 based on 55x FY28E earnings. Persistent slowdown in industrial production activity and adverse currency movement are key risks.

Market data

Sensex	:	80,723
Sector	:	Midcaps
Market Cap (INR bn)	:	1,194.3
Market Cap (USD bn)	:	12.983
O/S Shares (mn)	:	90.5
52-wk HI/LO (INR)	:	17820/8479
Avg. Daily Vol ('000)	:	212
Bloomberg	:	SOIL IN

Source: Bloomberg

Valuation

	FY26e	FY27e	FY28e
EPS (INR)	191.1	249.6	303.6
PE (x)	69.1	52.9	43.5
P/BV (x)	20.0	14.8	11.2
EV/EBITDA (x)	44.3	33.9	27.8
Dividend Yield (%)	0.1	0.1	0.1

Source: Company, Antique

Returns (%)

	1m	3m	6m	12m
Absolute	8	(5)	(4)	31
Relative	15	(1)	(5)	26

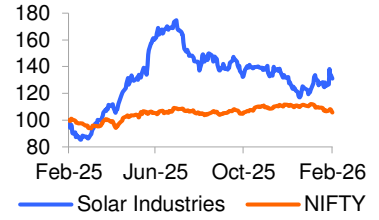
Source: Bloomberg

Shareholding pattern

Promoters	:	73%
Public	:	27%
Others	:	0%

Source: Bloomberg

Price performance *vs* Nifty



Source: Bloomberg Indexed to 100

Financials (Solar Industries India)

Profit and loss account (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Net Revenue	**60,695**	**75,403**	**98,823**	**1,28,847**	**1,57,667**
Op. Expenses	47,003	55,799	71,761	93,405	1,14,511
EBITDA	**13,692**	**19,604**	**27,062**	**35,443**	**43,156**
Depreciation	1,434	1,815	2,567	3,692	4,817
EBIT	**12,258**	**17,789**	**24,495**	**31,750**	**38,339**
Other income	445	708	1,062	1,328	1,660
Interest Exp.	1,094	1,165	1,034	1,034	1,034
Reported PBT	**11,609**	**17,332**	**24,524**	**32,045**	**38,965**
Tax	2,861	4,508	6,330	8,274	10,059
Reported PAT	**8,749**	**12,824**	**18,194**	**23,771**	**28,906**
Minority Int./Profit (loss) From Asso.	(390)	(729)	(901)	(1,177)	(1,431)
Net Profit	**8,359**	**12,094**	**17,293**	**22,593**	**27,475**
Adjusted PAT	**8,359**	**12,094**	**17,293**	**22,593**	**27,475**
Adjusted EPS (INR)	**92.4**	**133.6**	**191.1**	**249.6**	**303.6**

Balance sheet (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Share Capital	181	181	181	181	181
Reserves & Surplus	32,875	43,682	59,712	80,817	1,06,567
Networth	**33,056**	**43,863**	**59,893**	**80,998**	**1,06,748**
Debt	11,050	9,396	9,396	9,396	9,396
Minority Interest	1,217	1,503	2,404	3,581	5,013
Net deferred Tax liabilities	376	632	632	632	632
Capital Employed	**45,698**	**55,394**	**72,325**	**94,607**	**1,21,788**
Gross Fixed Assets	25,593	33,889	58,889	83,889	1,08,889
Accumulated Depreciation	5,316	6,933	9,500	13,193	18,010
Capital work in progress	4,898	7,034	7,034	7,034	7,034
Net Fixed Assets	**25,175**	**33,990**	**56,423**	**77,730**	**97,913**
Investments	3,699	6,763	1,473	1,473	1,473
Non Current Investments	1,565	1,473	1,473	1,473	1,473
Current Investments	2,134	5,290	-	-	-
Current Assets, Loans & Advances					
Inventory	8,468	10,400	10,650	14,041	17,314
Debtors	8,449	12,386	13,537	17,650	21,598
Cash & Bank balance	2,873	7,255	7,669	4,112	6,852
Loans & advances and others	7,107	10,262	10,262	10,262	10,262
Current Liabilities & Provisions					
Liabilities	5,799	14,905	16,395	18,803	21,171
Provisions	4,274	10,757	11,294	11,859	12,452
Net Current Assets	**16,824**	**14,642**	**14,429**	**15,404**	**22,403**
Application of Funds	**45,698**	**55,394**	**72,325**	**94,607**	**1,21,788**

Per share data

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
No. of shares (mn)	91	91	91	91	91
Diluted no. of shares (mn)	91	91	91	91	91
BVPS (INR)	365.3	484.7	661.8	895.0	1,179.5
CEPS (INR)	112.5	161.8	229.4	303.5	372.6
DPS (INR)	8.5	10.0	12.0	14.0	16.0

Source: Company, Antique

Cash flow statement (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
PBT	**11,609**	**17,332**	**24,347**	**31,823**	**38,689**
Depreciation & amortization	1,434	1,815	2,567	3,692	4,817
Interest expense	1,094	1,165	1,034	1,034	1,034
(Inc)/Dec in working capital	1,804	8,144	627	(4,531)	(4,260)
Tax paid	(2,996)	(4,031)	(6,330)	(8,274)	(10,059)
Other operating Cash Flow	1,115	251	(885)	(1,107)	(1,383)
CF from operating activities	**14,060**	**24,676**	**21,359**	**22,637**	**28,837**
Capital expenditure	(5,485)	(10,011)	(25,000)	(25,000)	(25,000)
Inc/(Dec) in investments	(1,867)	(5,993)	5,290	-	-
Add: Interest/Div. Income Recd.	87	72	885	1,107	1,383
CF from investing activities	**(7,265)**	**(15,932)**	**(18,825)**	**(23,893)**	**(23,617)**
Inc/(Dec) in debt	(1,556)	(2,392)	-	-	-
Dividend Paid	(766)	(1,007)	(1,086)	(1,267)	(1,448)
Others	(4,325)	(2,029)	(1,034)	(1,034)	(1,034)
CF from financing activities	**(6,647)**	**(5,429)**	**(2,120)**	**(2,301)**	**(2,482)**
Net cash flow	**148**	**3,314**	**414**	**(3,557)**	**2,739**
Opening balance	2,601	2,873	7,255	7,669	4,112
Closing balance	2,749	6,187	7,669	4,112	6,852
Changes in other bank balances	**124**	**1,068**	**-**	**-**	**-**
Cash and cash equivalents	**2,873**	**7,255**	**7,669**	**4,112**	**6,852**

Growth indicators (%)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Revenue(%)	-12.3	24.2	31.1	30.4	22.4
EBITDA(%)	6.2	43.2	38.0	31.0	21.8
Adj PAT(%)	10.4	44.7	43.0	30.7	21.6
Adj EPS(%)	10.4	44.7	43.0	30.7	21.6

Valuation (x)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
PE (x)	143.0	98.9	69.1	52.9	43.5
P/BV (x)	36.2	27.3	20.0	14.8	11.2
EV/EBITDA (x)	87.8	60.8	44.3	33.9	27.8
EV/Sales	19.8	15.8	12.1	9.3	7.6
Dividend Yield (%)	0.1	0.1	0.1	0.1	0.1

Financial ratios

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
RoE (%)	28.3	31.4	33.3	32.1	29.3
RoCE (%)	29.8	36.6	40.0	39.6	37.0
Asset/T.O (x)	1.5	1.7	1.7	1.6	1.5
Net Debt/Equity (x)	0.2	(0.1)	0.0	0.1	0.0
EBIT/Interest (x)	11.6	15.9	24.7	32.0	38.7

Margins (%)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
EBITDA Margin(%)	22.6	26.0	27.4	27.5	27.4
EBIT Margin(%)	20.2	23.6	24.8	24.6	24.3
PAT Margin(%)	13.7	15.9	17.3	17.4	17.2

Source: Company Antique

CMP	: INR 2,397
Reco	: BUY ↔
Target Price	: INR 3,407 ↔
Target Price Change	: No Change
Target FY28e Core P/E (x)	: 42
EPS Change FY26/ 27/ 28	: No Change

Sanjeev B Zarbade
+91 22 6911 3421
sanjeev.zarbade@antiquelimited.com

Amit Shah
+91 22 6911 3466
amit.shah@antiquelimited.com

COMPANY UPDATE

Mazagon Dock Shipbuilders

Large order pipeline

Mazagon Dock Shipbuilders (MAZDOCKS) is the premier conventional (diesel-electric) submarine builder in the country. It is the only shipyard possessing two independent submarine assembly and launch lines. We expect MAZDOCKS order book to increase by ~5.7x by the end of FY27, led by ordering of the three additional submarine on nomination basis and finalization of six submarines under the P75I plan. Apart from this, the company is well placed for orders of Destroyers, Mine Sweepers, and Frigates. We see strong visibility for multi-year earnings growth led by a 5x jump in order book. We remain positive on the stock given large order pipeline, strong position in submarine building, and government's focus on developing shipbuilding sector. We maintain BUY rating with a TP of INR 3,407 at a target P/E multiple of 42x FY28 core earnings.

Order pipeline remains robust

Apart from the P75 submarines and P17B Frigates, RFPs for Mine Counter Measure Vessel (INR 400 bn) and Landing Platform Docks (INR 400 bn) are also expected in FY27E. The company will be bidding jointly with Swan Defence for the LPDs and expects it to be strongly positioned for this order. Further, AoN for NG-Destroyer or P-15C is expected (though timeline is not certain), which is another INR 700 bn opportunity. Hence, the total order funnel is estimated to be INR 2.5 trn plus, almost 10x current order book. Moreover, this does not include orders from commercial sector, exports, and smaller and mid-sized vessels. The company indicated that discussions are underway with the Naval group, France, for building a Scorpene-class submarine for an Asian country.

Order book of INR 1.0 trn by end of FY26

MDL expects to conclude the contractual negotiations for P-75I submarine project in the coming weeks, and the contract (est. order value of INR 700 bn) is expected to be signed before the end of this fiscal. This should take the company's current order book of INR 250 bn to reach the INR 1.0 trn level.

Recently, Government notified two major shipbuilding initiatives—the Shipbuilding Financial Assistance Scheme (SBFAS) and the Shipbuilding Development Scheme (SbDS)

Under Amrit Kaal Vision 2047 (MAKV 2047), India aims to be in the top 10 in ship ownership and shipbuilding by 2030 and in the top 5 by 2047. Thus, by 2047, India needs to increase its ship ownership seven times to 100 million GT and shipbuilding output 40 times to 4.5 million GT by 2037. Under SBFAS, which has a total corpus of INR 247.4 bn, the government will provide financial assistance ranging from 15% to 25% per vessel, depending on the vessel category. Assistance will be disbursed based on shipbuilding milestones (keel-laying, launch, and delivery). Under SBDS, the government will provide capital grants for investment in greenfield and brownfield shipbuilding clusters.

Investment Summary

Despite some slippages in the timeline of order finalization, we remain constructive on the shipbuilding industry, especially, MDL, given large order pipeline in Naval and domestic commercial shipbuilding. We maintain BUY rating with a TP of INR 3,407 at a target P/E multiple of 42x FY28 core earnings.

Market data

Sensex	:	80,723
Sector	:	Defence
Market Cap (INR bn)	:	965.9
Market Cap (USD bn)	:	10.500
O/S Shares (mn)	:	403.4
52-wk HI/LO (INR)	:	3778/1918
Avg. Daily Vol ('000)	:	1,639
Bloomberg	:	MAZDOCKS IN

Source: Bloomberg

Valuation

	FY26e	FY27e	FY28e
EPS (INR)	61.9	74.9	94.7
P/E (x)	38.7	32.0	25.3
P/BV (x)	10.8	8.8	7.0
EV/EBITDA (x)	28.9	17.8	18.9
Dividend Yield (%)	0.8	0.9	1.2

Source: Bloomberg

Returns (%)

	1m	3m	6m	12m
Absolute	(3)	(12)	(12)	1
Relative	3	(9)	(12)	(3)

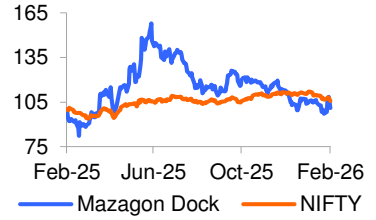
Source: Bloomberg

Shareholding pattern

Promoters	:	81%
Public	:	19%
Others	:	0%

Source: Bloomberg

Price performance *vs* Nifty



Source: Bloomberg Indexed to 100

Financials (Mazagon Dock Shipbuilders)

Profit and loss account (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Net Revenue	**94,666**	**1,14,319**	**1,25,290**	**1,35,014**	**1,64,633**
Gross profit	28,567	44,286	51,852	50,900	60,914
Op. Expenses	80,550	93,719	1,01,664	1,08,028	1,31,717
EBITDA	**14,116**	**20,600**	**23,627**	**26,986**	**32,916**
Depreciation	831	1,152	1,376	1,914	2,394
EBIT	**13,285**	**19,448**	**22,251**	**25,072**	**30,522**
Other income	11,381	11,688	11,256	15,256	20,471
Interest Exp.	51	44	117	50	50
Reported PBT	**24,614**	**31,092**	**33,389**	**40,278**	**50,943**
Tax	6,160	7,843	8,417	10,070	12,736
Reported PAT	**18,455**	**23,249**	**24,972**	**30,209**	**38,207**
Adjusted PAT	18,455	23,249	24,972	30,209	38,207
Adjusted EPS (INR)	**45.7**	**57.6**	**61.9**	**74.9**	**94.7**

Balance sheet (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Share capital	2,017	2,017	2,017	2,017	2,017
Reserves & Surplus	53,690	69,792	87,272	1,08,418	1,35,163
Networth	**55,707**	**71,808**	**89,289**	**1,10,435**	**1,37,180**
Other Non Current Liabilities	5,711	9,450	9,450	9,450	9,450
Net deferred Tax liabilities	(5,998)	(6,783)	(6,783)	(6,783)	(6,783)
Capital Employed	**55,420**	**74,476**	**91,957**	**1,13,103**	**1,39,847**
Gross Fixed Assets	12,640	19,903	27,903	35,903	43,903
Accumulated Depreciation	4,444	5,460	6,836	8,750	11,144
Net Fixed Assets	**8,197**	**14,443**	**21,067**	**27,153**	**32,759**
Capital work in progress	682	1,332	1,332	1,332	1,332
Goodwill	216	213	214	214	214
Investments	60	60	60	60	60
Other Non Current Assets	14,725	9,517	9,340	9,340	9,340
Current Assets, Loans & Adv.	**2,57,883**	**2,47,139**	**3,85,269**	**5,98,052**	**4,83,051**
Inventory	57,134	45,371	56,638	64,733	78,933
Debtors	18,469	10,672	12,014	12,947	15,787
Bank Balance	89,912	1,08,642	1,37,087	2,35,948	2,79,796
Cash	52,185	52,854	1,46,921	2,49,284	65,685
Loans & advances and others	40,183	29,599	32,610	35,141	42,850
Current Liabilities & Provisions	**2,26,342**	**1,98,227**	**3,25,324**	**5,23,047**	**3,86,907**
Liabilities	2,24,428	1,95,225	3,14,454	5,12,177	3,76,037
Provisions	1,914	3,002	10,870	10,870	10,870
Net Current Assets	**31,540**	**48,911**	**59,945**	**75,005**	**96,144**
Miscellaneous expenses	-	(1)	(2)	(2)	(2)
Application of Funds	**55,420**	**74,476**	**91,956**	**1,13,102**	**1,39,847**

Per share data

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
No. of shares (mn)	403.4	403.4	403.4	403.4	403.4
Diluted no. of shares (mn)	403.4	403.4	403.4	403.4	403.4
BVPS (INR)	138.1	178.0	221.4	273.8	340.1
CEPS (INR)	47.8	60.5	65.3	79.6	100.7
DPS (INR)	13.7	17.3	18.6	22.5	28.4

Source: Company, Antique

Cash flow statement (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
PBT	**24,614**	**31,092**	**33,389**	**40,278**	**50,943**
Depreciation & amortization	831	1,152	1,376	1,914	2,394
Interest expense	51	44	117	50	50
(Inc)/Dec in working capital	21,414	(16,702)	83,032	87,304	(2,04,738)
Tax paid	(6,160)	(9,425)	(8,417)	(10,070)	(12,736)
Less: Interest/Div. Income Recd.	(11,381)	(11,688)	(11,256)	(15,256)	(20,471)
Other operating Cash Flow	(22,533)	26,307	177	-	-
CF from operating activities	**6,838**	**20,780**	**98,420**	**1,04,220**	**(1,84,558)**
Capital expenditure	2,349	(7,431)	(8,000)	(8,000)	(8,000)
Inc/(Dec) in investments	1,317	-	-	-	-
Add: Interest/Div. Income Recd.	27,483	(5,559)	11,256	15,256	20,471
CF from investing activities	**31,148**	**(12,991)**	**3,256**	**7,256**	**12,471**
Interest paid	(51)	(44)	(117)	(50)	(50)
Dividend Paid	(5,536)	(6,980)	(7,492)	(9,063)	(11,462)
Others	1,103	(96)	-	-	-
CF from financing activities	**(4,485)**	**(7,120)**	**(7,609)**	**(9,113)**	**(11,512)**
Net cash flow	**33,501**	**669**	**94,066**	**1,02,364**	**(1,83,599)**
Opening balance	18,684	52,185	52,854	1,46,921	2,49,284
Closing balance	**52,185**	**52,854**	**1,46,921**	**2,49,284**	**65,685**

Growth indicators (%)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Revenue	20.9	20.8	9.6	7.8	21.9
EBITDA	76.9	45.9	14.7	14.2	22.0
Adj PAT	72.0	26.0	7.4	21.0	26.5
Adj EPS	72.0	26.0	7.4	21.0	26.5

Valuation (x)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
P/E (x)	52.4	41.6	38.7	32.0	25.3
P/BV (x)	17.4	13.5	10.8	8.8	7.0
EV/EBITDA (x)	58.4	39.1	28.9	17.8	18.9
EV/Sales (x)	8.7	7.0	5.5	3.6	3.8
Dividend Yield (%)	0.6	0.7	0.8	0.9	1.2

Financial ratios

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
RoE (%)	37.9	36.5	31.0	30.3	30.9
RoCE (%)	51.6	47.9	40.3	39.3	40.3
Asset/T.O (x)	2.7	2.2	1.7	1.5	1.4
Net Debt/Equity (x)	-	-	(3.2)	(4.4)	(2.5)
EBIT/Interest (x)	481.7	707.6	285.4	806.6	1,019.9

Margins (%)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
EBITDA Margin (%)	14.9	18.0	18.9	20.0	20.0
EBIT Margin	14.0	17.0	17.8	18.6	18.5
PAT Margin	19.5	20.3	19.9	22.4	23.2

Source: Company Antique

CMP	: INR 1,387
Reco	: BUY ↔
Target Price	: INR 1,729 ↔
Target Price Change	: No Change
Target FY28e P/E (x)	: 48
EPS Change FY26/ 27/ 28	: No change

COMPANY UPDATE

Bharat Dynamics

Precision guided defence platform

Bharat Dynamics Limited (BDL) is a defence PSU specializing in the manufacture of guided missile systems and allied weapon platforms for the Indian armed forces. Established as the primary production partner for missiles developed by DRDO, BDL's portfolio includes anti-tank guided missiles, surface-to-air missiles, launchers, torpedoes, and life-extension solutions for legacy systems. BDL occupies a strategically critical niche in India's defence ecosystem by enabling indigenous missile production, system integration, and growing export capabilities, supporting the country's push towards self-reliance in advanced weapon systems. Given the strong business outlook and a huge export opportunity available to BDL, we continue to remain positive on the company's long-term business prospects and maintain our positive stance on the company. We maintain BUY rating on the stock with a TP of INR 1,729, valuing it at 48x FY28E EPS.

Amit Shah
+91 22 6911 3466
amit.shah@antiquelimited.com

Dhirendra Tiwari
+91 22 6911 3436
dhirendra.tiwari@antiquelimited.com

Market data

Sensex	:	80,723
Sector	:	Defense
Market Cap (INR bn)	:	507.4
Market Cap (USD bn)	:	5.515
O/S Shares (mn)	:	366.6
52-wk HI/LO (INR)	:	2097/907
Avg. Daily Vol ('000)	:	2,017
Bloomberg	:	BDL IN

Source: Bloomberg

Valuation

	FY26e	FY27e	FY28e
EPS (INR)	21.0	30.7	36.0
P/E (x)	66.1	45.2	38.5
P/BV (x)	11.3	9.8	8.4
EV/EBITDA (x)	72.8	43.0	34.2
Dividend Yield (%)	0.5	0.7	0.8

Source: Bloomberg

Returns (%)

	1m	3m	6m	12m
Absolute	(7)	(10)	(12)	10
Relative	(1)	(6)	(12)	6

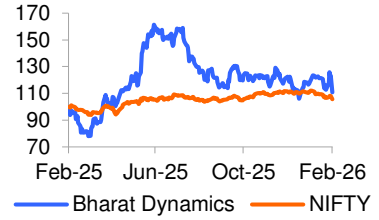
Source: Bloomberg

Shareholding pattern

Promoters	:	75%
Public	:	25%
Others	:	0%

Source: Bloomberg

Price performance *vs* Nifty



Source: Bloomberg Indexed to 100

Ordering momentum to continue; INR 250 bn+ worth of orders expected by FY28E

BDL on YTD basis won orders worth INR 60 bn consisting of ATGMs (INR 25 bn), INVAR missile (INR 21 bn), and ATGM (INR 8 bn). This has helped elevate the order book to ~INR 210 bn, providing healthy revenue visibility of 6x its TTM revenue. Incrementally, the ordering pipeline (INR 200 bn+) looks equally strong from the next two to three-year perspective, with large-ticket orders like Astra MK II, QRSAM, and MRSAM expected to be finalized.

R&D as a strategic moat

BDL's R&D spend remains a key pillar underpinning its long-term growth and strategic relevance in India's defence ecosystem. The company continues to meaningfully invest in indigenous development of advanced missile subsystems, seekers, propulsion systems and system-level integration, aligned with evolving requirements of the Indian armed forces. This sustained focus on in-house R&D not only strengthens BDL's technological self-reliance and execution capability but also supports margin resilience and export potential over the medium term, positioning the company as a critical beneficiary of India's defence indigenization push.

Supply chain issues get ironed out

Despite a strong order backlog of ~INR 210 bn, BDL's execution has not been at its full potential given the supply chain challenges that it faced over the last two year, however, those issues now seem to have ironed out. Continued execution should assist in achieving revenue growth of +28% in FY26 as supply chain issues, which were prevalent on account of geopolitical issues between Israel and Hamas, gets normalized. We believe normalization of supply chain and development of an alternate supply chain would help BDL smoothly execute the large order backlog it has accumulated over the last three years.

Investment Summary

Given the strong business outlook and a huge export opportunity available to BDL, we continue to remain positive on the company's long-term business prospects and maintain our positive stance on the company. We maintain BUY rating on the stock with a TP of INR 1,729, valuing it at 48x FY28E EPS.

Financials (Bharat Dynamics)

Profit and loss account (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Net Revenue	**23,693**	**33,451**	**42,735**	**55,956**	**68,084**
Op. Expenses	19,967	27,313	36,549	45,560	54,842
Gross Profit	13,079	16,672	18,889	26,131	31,999
EBITDA	**3,726**	**6,138**	**6,186**	**10,396**	**13,242**
Depreciation	670	707	783	808	833
EBIT	**3,055**	**5,431**	**5,403**	**9,588**	**12,409**
Other income	3,618	3,504	4,913	5,479	5,276
Interest Exp.	31	33	34	34	35
Extra Ordinary Items -gain/(loss)	1,640	(1,076)	-	-	-
Reported PBT	**6,642**	**8,902**	**10,282**	**15,033**	**17,649**
Tax	2,155	1,991	2,591	3,788	4,448
Reported PAT	**6,127**	**5,834**	**7,691**	**11,245**	**13,202**
Net Profit	**6,127**	**5,834**	**7,691**	**11,245**	**13,202**
Adjusted PAT	**4,487**	**6,910**	**7,691**	**11,245**	**13,202**
Adjusted EPS (INR)	**12.2**	**18.9**	**21.0**	**30.7**	**36.0**

Balance sheet (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Share Capital	1,833	1,833	1,833	1,833	1,833
Reserves & Surplus	34,535	38,257	43,069	50,249	58,678
Networth	**36,368**	**40,090**	**44,902**	**52,081**	**60,511**
Debt	-	471	471	471	471
Net deferred Tax liabilities	(707)	(1,227)	(1,227)	(1,227)	(1,227)
Capital Employed	**35,661**	**39,333**	**44,145**	**51,325**	**59,754**
Gross Fixed Assets	15,092	14,212	15,907	16,407	16,907
Accumulated Depreciation	6,856	7,538	8,321	9,129	9,962
Capital work in progress	729	1,171	743	743	743
Net Fixed Assets	8,965	7,845	8,329	8,021	7,689
Investments	-	1,070	-	-	-
Current Assets, Loans & Adv.	**93,728**	**1,07,283**	**1,26,496**	**1,47,836**	**1,59,842**
Inventory	19,825	26,451	36,480	45,625	55,202
Debtors	3,104	8,264	3,169	4,149	5,048
Cash & Bank balance	42,285	41,904	58,388	61,577	55,864
Loans & advances and others	28,514	30,664	28,460	36,484	43,728
Current Liabilities & Provisions	**67,032**	**76,864**	**90,680**	**1,04,532**	**1,07,776**
Liabilities	63,029	71,784	84,848	96,959	98,589
Provisions	4,003	5,081	5,832	7,573	9,187
Net Current Assets	**26,696**	**30,418**	**35,816**	**43,304**	**52,066**
Application of Funds	**35,661**	**39,333**	**44,145**	**51,325**	**59,754**

Per share data

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
No. of shares (mn)	367	367	367	367	367
Diluted no. of shares (mn)	367	367	367	367	367
BVPS (INR)	99.2	109.4	122.5	142.1	165.1
CEPS (INR)	18.5	17.8	23.1	32.9	38.3
DPS (INR)	5.3	5.8	6.5	9.2	10.8

Source: Company, Antique

Cash flow statement (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
PBT	**6,642**	**8,902**	**10,282**	**15,033**	**17,649**
Depreciation & amortization	670	707	783	808	833
Interest expense	31	33	34	34	35
(Inc)/Dec in working capital	(278)	(4,103)	11,086	(4,298)	(14,476)
Tax paid	(2,298)	(2,511)	(2,591)	(3,788)	(4,448)
Less: Interest/Div. Income Recd.	(3,618)	(3,504)	(4,913)	(5,479)	(5,276)
CF from operating activities	**1,149**	**(477)**	**14,681**	**2,310**	**(5,682)**
Capital expenditure	(921)	438	(1,267)	(500)	(500)
Inc/(Dec) in investments	-	(1,070)	1,070	-	-
Add: Interest/Div. Income Recd.	3,618	3,504	4,913	5,479	5,276
CF from investing activities	**4,452**	**1,771**	**4,716**	**4,979**	**4,776**
Inc/(Dec) in share capital	-	(0)	-	-	-
Inc/(Dec) in debt	-	471	-	-	-
Dividend Paid	(2,304)	(2,543)	(2,879)	(4,065)	(4,772)
Others	430	430	(0)	(0)	(0)
CF from financing activities	**(1,905)**	**(1,675)**	**(2,913)**	**(4,099)**	**(4,808)**
Net cash flow	**3,696**	**(381)**	**16,484**	**3,190**	**(5,713)**
Opening balance	38,589	42,285	41,904	58,388	61,577
Closing balance	**42,285**	**41,904**	**58,388**	**61,577**	**55,864**

Growth indicators (%)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Revenue	(4.8)	41.2	27.8	30.9	21.7
EBITDA	(8.7)	64.7	0.8	68.1	27.4
Adj PAT	27.4	54.0	11.3	46.2	17.4
Adj EPS	27.4	54.0	11.3	46.2	17.4

Valuation (x)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
P/E (x)	113.3	73.6	66.1	45.2	38.5
P/BV (x)	14.0	12.7	11.3	9.8	8.4
EV/EBITDA (x)	125.1	76.1	72.8	43.0	34.2
EV/Sales (x)	19.7	14.0	10.5	8.0	6.7
Dividend Yield (%)	0.4	0.4	0.5	0.7	0.8

Financial ratios

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
RoE (%)	13.1	18.1	18.1	23.2	23.5
RoCE (%)	13.4	18.5	18.5	23.6	23.8
Asset/T.O (x)	0.7	0.9	1.0	1.2	1.2
Net Debt/Equity (x)	(1.2)	(1.0)	(1.3)	(1.2)	(0.9)
EBIT/Interest (x)	214.9	270.0	305.6	437.6	503.6

Margins (%)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
EBITDA Margin	15.7	18.3	14.5	18.6	19.4
EBIT Margin	12.9	16.2	12.6	17.1	18.2
PAT Margin	18.9	20.7	18.0	20.1	19.4

Source: Company Antique

CMP	: INR 1,555
Reco	: SELL ↔
Target Price	: INR 1,461 ↔
Target Price Change	: No Change
Target Core FY28e P/E (x)	: 40
EPS Change FY26/ 27/ 28	: No Change

COMPANY UPDATE

Cochin Shipyards

Muted near-term order pipeline

Sanjeev B Zarbade
+91 22 6911 3414
sanjeev.zarbade@antiquelimited.com

Cochin Shipyard (CSL) has one of the largest capacities in the country and is well placed with facilities that are in close proximity to major international maritime traffic routes on the Indian Ocean. On the strategic front, the board has approved the acquisition of 23% equity stake in Conoship International Holding B.V. (Netherlands), marking CSL's entry into the European market. This initiative aligns with the government's objective of positioning India as a major global hub for commercial shipbuilding. We believe CSL is well placed to benefit from this structural opportunity, with domestic commercial ship buyers expected to place orders worth ~INR 2.2 trn over the next two decades. However, these benefits are likely to accrue over the medium to long term. Despite these long-term positives, valuations remain stretched at ~37x FY28E earnings, with CSL trading at a premium to peers such as MDL and GRSE. Accordingly, we maintain SELL rating on the stock with an unchanged target price of INR 1,461, based on a core target P/E multiple of 40x FY28E earnings.

CSL has one of the best infrastructure to meet future demand

CSL is the only shipyard in the country to build ships of up to 110,000 DWT and repair ships of up to 125,000 DWT. The company has dry docks located at strategic locations, which positions it favorably for future ship-repair business. In 2024, it completed a major capex program, including construction of a new dry dock costing INR 18 bn and an International Ship Repair Facility (ISRF) project costing INR 9.7 bn

MoU with HD Korea Shipbuilding & Offshore Engineering (KSOE)

CSL has signed a MoU with HD korea, a Hyundai group company. KSOE is a global leader in shipbuilding and marine engineering, with proven expertise in designing and constructing commercial vessels, naval platforms, and offshore infrastructure. This collaboration will explore opportunities to co-invest in shipbuilding in India and abroad, sharing of technical expertise, and initiatives to drive productivity gains. Under the MoU, CSL's 310-meter new dry dock will be utilized to build vessels such as Suezmax tankers, container ships, and Capesize bulk carriers, with a capacity of up to six vessels annually.

Muted near-term order pipeline due to deferral of Indian Aircraft Carrier-II (IAC-II)

Given the high capital cost, long gestation period, operational complexity and recurring maintenance requirements associated with aircraft carriers, there appears to be a lack of consensus between the Indian Navy and the government on the urgency of ordering a third carrier. Media reports suggest that the government may instead prioritize submarine construction. While CSL possesses proven expertise in building aircraft carriers, deferral in ordering of IAC-II weakens the company's near-term order pipeline and curtails order book visibility.

Investment Summary

Among the three listed PSU shipyards, Cochin Shipyard (CSL) lacks the benefit of a large order pipeline, which limits long-term revenue visibility. Despite being the largest shipyard in terms of capacity—and the only one with prior experience in building aircraft carriers—the timeline for ordering the second indigenous aircraft carrier remains uncertain. Consequently, the stock lacks any near-term order win-related catalyst, yet continues to trade at premium valuations of ~38x FY28E earnings. In our view, prevailing investor optimism appears to be driven by (1) The potential for collaboration with global shipyards to jointly explore opportunities in commercial shipbuilding and (2) The eventual awarding of a third aircraft carrier (IAC-II) to replace the ageing INS *Vikramaditya*. Nevertheless, we maintain SELL rating on the stock with an unchanged target price of INR 1,461 based on a core target P/E multiple of 40x FY28E earnings.

Market data

Sensex	:	80,723
Sector	:	Defence
Market Cap (INR bn)	:	409.0
Market Cap (USD bn)	:	4.446
O/S Shares (mn)	:	263.1
52-wk HI/LO (INR)	:	2547/1180
Avg. Daily Vol ('000)	:	1,503
Bloomberg	:	COCHIN IN

Source: Bloomberg

Valuation

	FY26e	FY27e	FY28e
EPS (INR)	20.2	34.7	42.4
P/E (x)	76.9	44.8	36.7
P/BV (x)	6.9	6.2	5.6
EV/EBITDA (x)	63.3	37.0	28.8
Dividend Yield (%)	0.4	0.7	0.8

Source: Bloomberg

Returns (%)

	1m	3m	6m	12m
Absolute	(4)	(13)	(10)	6
Relative	2	(10)	(10)	2

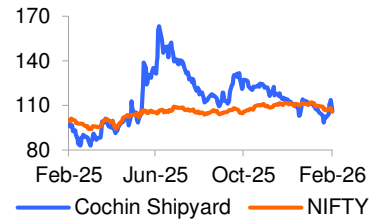
Source: Bloomberg

Shareholding pattern

Promoters	:	68%
Public	:	32%
Others	:	0%

Source: Bloomberg

Price performance *vs* Nifty



Source: Bloomberg Indexed to 100

Financials (Cochin Shipyards)

Profit and loss account (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Net Revenue	**38,305**	**48,199**	**50,687**	**63,413**	**75,468**
Op. Expenses	29,618	39,421	44,361	52,705	61,993
EBITDA	**8,686**	**8,779**	**6,326**	**10,708**	**13,474**
Depreciation	746	1,032	1,166	1,675	1,755
EBIT	**7,940**	**7,747**	**5,160**	**9,033**	**11,719**
Other income	3,102	3,891	3,028	3,892	4,044
Interest Exp.	332	386	953	500	500
Reported PBT	**10,710**	**11,252**	**7,234**	**12,424**	**15,263**
Tax	2,877	2,978	1,915	3,292	4,121
Reported PAT	**7,833**	**8,274**	**5,319**	**9,132**	**11,142**
Net Profit	**7,833**	**8,274**	**5,319**	**9,132**	**11,142**
Adjusted PAT	**7,833**	**8,274**	**5,319**	**9,132**	**11,142**
Adjusted EPS (INR)	**29.8**	**31.4**	**20.2**	**34.7**	**42.4**

Balance sheet (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Share capital	1,315	1,315	1,315	1,315	1,315
Reserves & Surplus	48,718	54,477	58,201	64,593	72,392
Networth	**50,033**	**55,793**	**59,516**	**65,908**	**73,708**
Debt	5,022	5,604	5,604	5,604	5,604
Other Non Current Liabilities	1,828	2,567	2,567	2,567	2,567
Net deferred Tax liabilities	(990)	(1,035)	(1,035)	(1,035)	(1,035)
Capital Employed	**55,893**	**62,928**	**66,652**	**73,044**	**80,843**
Gross Fixed Assets	13,962	35,729	40,879	42,879	44,879
Accumulated Depreciation	4,468	5,388	6,554	8,229	9,984
Capital work in progress	21,953	5,150	2,000	2,000	2,000
Net Fixed Assets	**31,447**	**35,491**	**36,325**	**36,650**	**36,895**
Goodwill	187	136	136	136	136
Investments	1	2	2	2	2
Other Non Current Assets	1,588	615	615	615	615
Current Assets, Loans & Adv.	**86,155**	**96,652**	**1,02,478**	**1,08,346**	**1,21,533**
Inventory	10,261	18,851	19,858	20,848	25,845
Debtors	3,034	2,290	4,655	5,824	6,823
Bank Balance	35,576	27,959	27,104	27,104	27,104
Cash	3,064	3,167	14,507	18,600	26,851
Loans & advances and others	34,220	44,385	36,354	35,970	34,910
Current Liabilities & Provisions	**63,488**	**69,967**	**72,905**	**72,705**	**78,337**
Liabilities	56,751	59,170	62,376	62,176	67,808
Provisions	6,737	10,797	10,529	10,529	10,529
Net Current Assets	**22,668**	**26,685**	**29,574**	**35,641**	**43,196**
Application of Funds	**55,891**	**62,928**	**66,651**	**73,044**	**80,843**

Per share data

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
No. of shares (mn)	263.1	263.1	263.1	263.1	263.1
Diluted no. of shares (mn)	263.1	263.1	263.1	263.1	263.1
BVPS (INR)	190.2	212.1	226.2	250.5	280.2
CEPS (INR)	32.6	35.4	24.6	41.1	49.0
DPS (INR)	9.0	9.8	6.1	10.4	12.7

Source: Company, Antique

Cash flow statement (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
PBT	**10,710**	**11,252**	**7,234**	**12,424**	**15,263**
Depreciation & amortization	746	1,032	1,166	1,675	1,755
Interest expense	332	386	953	500	500
(Inc)/Dec in working capital	(8,084)	(10,557)	7,595	(1,974)	696
Tax paid	(2,877)	(2,978)	(1,915)	(3,292)	(4,121)
Less: Interest/Div. Income Recd.	(3,102)	(3,891)	(3,028)	(3,892)	(4,044)
Other operating Cash Flow	558	1,791	-	-	-
CF from operating activities	**(1,716)**	**(2,966)**	**12,006**	**5,441**	**10,050**
Capital expenditure	(6,325)	(6,132)	(2,000)	(2,000)	(2,000)
Inc/(Dec) in investments	8,034	7,617	856	-	-
Add: Interest/Div. Income Recd.	3,102	3,891	3,028	3,892	4,044
CF from investing activities	**4,810**	**5,376**	**1,883**	**1,892**	**2,044**
Inc/(Dec) in debt	3,764	582	-	-	-
Dividend Paid	(2,700)	(2,951)	(2,549)	(3,240)	(3,843)
Others	(4,774)	(398)	-	-	-
CF from financing activities	**(3,710)**	**(2,767)**	**(2,549)**	**(3,240)**	**(3,843)**
Net cash flow	**(616)**	**(357)**	**11,340**	**4,094**	**8,251**
Opening balance	3,680	3,064	3,167	14,507	18,600
Closing balance	**3,064**	**3,167**	**14,507**	**18,600**	**26,851**

Growth indicators (%)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Revenue	64.4	25.8	5.2	25.1	19.0
EBITDA	-3777.4	1.1	-27.9	69.3	25.8
Adj PAT	-	5.6	-35.7	71.7	22.0
Adj EPS	-	5.6	-35.7	71.7	22.0

Valuation (x)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
P/E (x)	52.2	49.4	76.9	44.8	36.7
P/BV (x)	8.2	7.3	6.9	6.2	5.6
EV/EBITDA (x)	47.3	46.9	63.3	37.0	28.8
EV/Sales (x)	10.5	8.4	8.0	6.4	5.4
Dividend Yield (%)	0.6	0.6	0.4	0.7	0.8

Financial ratios

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
RoE (%)	16.6	15.6	9.2	14.6	16.0
RoCE (%)	20.7	19.6	12.6	18.5	20.5
Asset/T.O (x)	0.8	0.8	0.8	0.9	1.0
Net Debt/Equity (x)	(0.7)	(0.5)	(0.6)	(0.6)	(0.7)
EBIT/Interest (x)	33.2	30.2	8.6	25.8	31.5

Margins (%)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
EBITDA Margin (%)	22.7	18.2	12.5	16.9	17.9
EBIT Margin	20.7	16.1	10.2	14.2	15.5
PAT Margin	20.5	17.2	10.5	14.4	14.8

Source: Company Antique

CMP	: INR 2,527
Reco	: BUY ↔
Target Price	: INR 3,026 ↔
Target Price Change	: No Change
Target FY28e Core P/E (x)	: 40
EPS Change FY26/ 27/ 28	: No Change

COMPANY UPDATE

Garden Reach Shipbuilders & Engineers

Strong near-term profit growth

Sanjeev B Zarbade
+91 22 6911 3414
sanjeev.zarbade@antiquelimited.com

Garden Reach Shipbuilders & Engineers (GRSE) is L1 bidder for the next-generation corvette order and is targeting a similar outcome for the P-17B Frigate program, for which a RFP is expected by March 2026. We expect the ordering process for P-17B to conclude by end-FY27E, which could potentially increase the company's order book by ~3.6x to INR 738 bn. The demand outlook remains strong. The company is currently upgrading its existing capacity to enable concurrent construction of 32 vessels (up from 28 vessels in FY25) by FY26. In addition, a greenfield dock is planned to cater to incremental demand from commercial vessel construction. We expect GRSE to deliver robust earnings growth of 33% and 37% in FY26E and FY27E, respectively, supported by the execution and completion of P-17A Frigates and Anti-Submarine Warfare Corvette orders. However, growth is likely to moderate in FY28E as revenue recognition from new order wins would be limited. We maintain our BUY rating with an unchanged target price of INR 3,026, based on a core target multiple of 42x FY28E earnings.

Strongly placed for winning the bid for P17B Frigates

The Indian Navy is in the process of issuing a RFP for the procurement of seven frigates under the P-17B program. Unlike earlier practices where projects were awarded on a nomination basis, procurement under P-17B will follow a competitive bidding process. The project is estimated to be valued at ~INR 700 bn, with the L1 and L2 bidders expected to execute four and three frigates, respectively. We believe GRSE is well positioned to secure this order, given its ongoing execution of the P-17A Frigate program, which provides it with strong technical credentials and execution experience.

Strong order book position

GRSE's present order book stands at approx. INR 202 bn with major projects on track to be executed in the next 1–2 years. It comprises of two P-17A stealth frigates (all three are scheduled for delivery in FY26/ 27), anti-submarine warfare shallow water crafts, a survey vessel, and next-generation offshore patrol vessels. The company is L-1 for the next-generation corvette order, valued at INR 300 bn-plus. This order is now at contractual negotiation stage and should get finalized by end of FY26, potentially double the existing order book of the company. Including the P-17B Frigate order, we believe that the order book at the end of FY27E could be INR 738 bn, representing a ~3.6x increase over the current order book.

Adding capacity to build 32 vessels

GRSE is upgrading existing infrastructure to build 32 vessels (from 28 vessels in FY25) concurrently by FY26. These enhancements are expected to significantly boost production capabilities, enabling it to reduce delivery time, bid for larger orders, and also improve productivity. Given the order pipeline, the company intends to lease out more shipyards in its proximate areas. The company's ability to build larger warships (Destroyer class) at Garden Reach Kolkata is constrained due to space and draft. To overcome this, the company is in discussions on leasing a dock at Raichak, WB. This would enable the company to build larger warships. The medium-term plan is to invest around INR 10-15 bn in a greenfield dock, this location would largely serve the commercial shipbuilding orders.

Investment Summary

We project GRSE's order book to reach INR 624 bn by FY28E, 2.8x its current order book, the resulting revenue visibility should support valuations going forward. Being a riverine shipyard, the company lacks the capability of building larger vessels but makes it up with faster execution of smaller vessels. We project GRSE's earnings CAGR to be superior than the peers in the near-term. We maintain BUY rating with an unchanged target price of INR 3,026, based on a core target multiple of 42x FY28E earnings.

Market data

Sensex	:	80,723
Sector	:	Defence
Market Cap (INR bn)	:	288.9
Market Cap (USD bn)	:	3.141
O/S Shares (mn)	:	114.6
52-wk HI/LO (INR)	:	3538/1180
Avg. Daily Vol ('000)	:	2,919
Bloomberg	:	GRSE IN

Source: Bloomberg

Valuation

	FY26e	FY27e	FY28e
EPS (INR)	61.4	84.1	89.5
P/E (x)	41.1	30.0	28.2
P/BV (x)	11.3	8.9	7.3
EV/EBITDA (x)	35.9	21.8	22.2
Dividend Yield (%)	0.7	1.0	1.1

Source: Bloomberg

Returns (%)

	1m	3m	6m	12m
Absolute	3	(1)	(2)	58
Relative	10	3	(2)	52

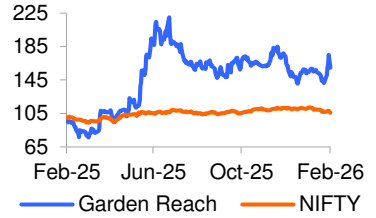
Source: Bloomberg

Shareholding pattern

Promoters	:	75%
Public	:	25%
Others	:	0%

Source: Bloomberg

Price performance *vs* Nifty



Source: Bloomberg Indexed to 100

Financials (Garden Reach Shipbuilders & Engineers)

Profit and loss account (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Net Revenue	**35,926**	**50,757**	**72,240**	**94,969**	**95,269**
Op. Expenses	33,585	46,544	65,477	85,522	85,362
EBITDA	**2,342**	**4,213**	**6,763**	**9,447**	**9,907**
Gross profit	13,413	15,403	20,805	27,256	28,295
Depreciation	413	425	482	512	541
EBIT	**1,929**	**3,788**	**6,281**	**8,936**	**9,366**
Other income	2,996	3,348	3,297	4,013	4,405
Interest Exp.	115	103	173	103	103
Reported PBT	**4,810**	**7,033**	**9,405**	**12,846**	**13,669**
Tax	1,237	1,759	2,368	3,211	3,417
Reported PAT	**3,574**	**5,274**	**7,037**	**9,634**	**10,251**
Net Profit	3,574	5,274	7,037	9,634	10,251
Adjusted PAT	**3,574**	**5,274**	**7,037**	**9,634**	**10,251**
Adjusted EPS (INR)	**31.2**	**46.0**	**61.4**	**84.1**	**89.5**

Balance sheet (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Share capital	1,146	1,146	1,146	1,146	1,146
Reserves & Surplus	15,589	19,647	24,573	31,317	38,493
Networth	**16,734**	**20,793**	**25,718**	**32,462**	**39,638**
Debt	556	-	-	-	-
Other Non Current Liabilities	101	97	97	97	97
Net deferred Tax liabilities	140	163	163	163	163
Capital Employed	**17,531**	**21,052**	**25,978**	**32,722**	**39,898**
Gross Fixed Assets	7,239	7,738	8,238	8,738	9,238
Accumulated Depreciation	2,389	2,743	3,225	3,737	4,278
Capital work in progress	116	212	212	212	212
Net Fixed Assets	**4,966**	**5,207**	**5,224**	**5,213**	**5,172**
Goodwill	207	225	225	225	225
Other Non Current Assets	5,113	4,918	4,918	4,918	4,918
Current Assets, Loans & Adv.	**92,233**	**93,193**	**1,14,634**	**1,72,813**	**1,66,230**
Inventory	39,844	35,522	39,583	52,038	52,202
Debtors	1,942	2,595	3,958	5,204	5,220
Bank Balance	37,151	37,280	37,280	37,280	37,280
Cash	53	39	9,073	45,768	32,376
Loans & advances and others	13,243	17,757	24,740	32,524	39,152
Current Liabilities & Provisions	**84,988**	**82,490**	**99,023**	**1,50,447**	**1,36,647**
Liabilities	83,687	81,007	97,540	1,48,964	1,35,163
Provisions	1,300	1,483	1,483	1,483	1,483
Net Current Assets	**7,245**	**10,703**	**15,611**	**22,366**	**29,583**
Miscellaneous expenses	-	(1)	-	-	-
Application of Funds	**17,531**	**21,052**	**25,978**	**32,722**	**39,898**

Per share data

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
No. of shares (mn)	114.6	114.6	114.6	114.6	114.6
Diluted no. of shares (mn)	114.6	114.6	114.6	114.6	114.6
BVPS (INR)	146.1	181.5	224.5	283.4	346.0
CEPS (INR)	34.8	49.7	65.6	88.6	94.2
DPS (INR)	8.6	13.8	18.4	25.2	26.8

Source: Company, Antique

Cash flow statement (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
PBT	**4,810**	**7,033**	**9,405**	**12,846**	**13,669**
Depreciation & amortization	413	425	482	512	541
Interest expense	115	103	173	103	103
(Inc)/Dec in working capital	(8,696)	(2,693)	4,125	29,940	(20,609)
Tax paid	(1,237)	(1,759)	(2,368)	(3,211)	(3,417)
Less: Interest/Div. Income Recd.	(2,996)	(3,348)	(3,297)	(4,013)	(4,405)
Other operating Cash Flow	522	395	-	-	-
CF from operating activities	**(7,068)**	**156**	**8,520**	**36,176**	**(14,119)**
Capital expenditure	(295)	(671)	(500)	(500)	(500)
Inc/(Dec) in investments	8,324	(129)	-	-	-
Add: Interest/Div. Income Recd.	2,527	2,497	3,297	4,013	4,405
CF from investing activities	**10,557**	**1,698**	**2,797**	**3,513**	**3,905**
Inc/(Dec) in debt	(2,456)	(556)	-	-	-
Dividend and Int Paid	(1,102)	(1,685)	(2,284)	(2,994)	(3,179)
Others	(17)	374	-	-	-
CF from financing activities	**(3,575)**	**(1,867)**	**(2,284)**	**(2,994)**	**(3,179)**
Net cash flow	**(87)**	**(14)**	**9,034**	**36,695**	**(13,392)**
Opening balance	43,278	53	39	9,073	45,768
Closing balance	**53**	**39**	**9,073**	**45,768**	**32,376**

Growth indicators (%)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Revenue	40.3	41.3	42.3	31.5	0.3
EBITDA	38.3	79.9	60.5	39.7	4.9
Adj PAT	56.7	47.6	33.4	36.9	6.4
Adj EPS	56.7	47.6	33.4	36.9	6.4

Valuation (x)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
P/E (x)	81.0	54.9	41.1	30.0	28.2
P/BV (x)	17.3	13.9	11.3	8.9	7.3
EV/EBITDA (x)	108.0	59.9	35.9	21.8	22.2
EV/Sales (x)	8.0	5.7	4.0	3.0	3.0
Dividend Yield (%)	0.3	0.5	0.7	1.0	1.1

Financial ratios

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
RoE (%)	23.2	28.1	30.3	33.1	28.4
RoCE (%)	28.2	37.0	40.7	44.1	37.9
Asset/T.O (x)	2.1	2.6	3.1	3.2	2.6
Net Debt/Equity (x)	(2.2)	(1.8)	(1.8)	(2.6)	(1.8)
EBIT/Interest (x)	42.9	69.1	55.4	125.4	133.4

Margins (%)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
EBITDA Margin (%)	6.5	8.3	9.4	9.9	10.4
EBIT Margin	5.4	7.5	8.7	9.4	9.8
PAT Margin	9.9	10.4	9.7	10.1	10.8

Source: Company Antique

CMP	: INR 18,037
Reco	: BUY ↔
Target Price	: INR 23,005 ↔
Target Price Change	: No Change
Target FY28e P/E (x)	: 50
EPS Change FY26/ 27/ 28	: No Change

COMPANY UPDATE

PTC Industries

Agreement with aerospace majors to drive profits

PTC Industries (PTC) is emerging as India's leading manufacturer of titanium and other super alloys-materials and castings, catering to the entire spectrum of aerospace and defence sectors. The company has platform-independent technologies at par with the best in the world. In recent months, PTCIL has announced several milestone agreements with leading global OEMs in the defence and aerospace sector, and we believe that the pipeline is also quite strong. The company recently announced that it (Aerolloys Technologies) and Safran Aircraft Engines have signed a MoU to cooperate on manufacturing military aircraft engines. We believe that this will be meaningful in size and drive growth in the long term. We retain our earnings forecast and reiterate BUY with an unchanged target price of INR 23,005, based on 50x FY28E earnings.

Dhirendra Tiwari
+91 22 6911 3436
dhirendra.tiwari@antiquelimited.com

Sanjeev Zarbade
+91 22 6911 3421
sanjeev.zarbade@antiquelimited.com

Aerolloy signs long-term agreement with Honeywell for titanium & superalloy castings

As part of the agreement, Aerolloy Technologies will deliver precision titanium and superalloy investment castings for Honeywell Aerospace Technologies' global aerospace programs, including castings for critical aero-engine components. The agreement leverages Aerolloy's integrated manufacturing capabilities, from titanium materials and superalloy production to finished investment castings. Aerolloy will also dedicate a production capacity earmarked for Honeywell's programs, ensuring long-term, stable revenue visibility for Aerolloy. The agreement strengthens India's position as a supplier of high-value aerospace hardware and supports Honeywell's global supply chain resilience.

Titanium & superalloy materials plant Lokarpan (inauguration) ceremony

On October 18, 2025, PTC Industries, through its wholly-owned subsidiary Aerolloy Technologies Ltd., held the Lokarpan ceremony of the titanium & superalloy materials plant at Aerolloy Technologies' Strategic Materials Technology Complex. The event marked a major milestone for PTC Industries Group, a significant step towards enhancing India's self-reliance in strategic materials manufacturing for the defence, aerospace, and industrial sectors. The facility is equipped with state-of-the-art technologies for the production of high-performance titanium and superalloy materials, aligning with the Government of India's "Aatmanirbhar Bharat" initiative.

MoUs provide long-term order book visibility

A few of the prominent MoUs signed by the company:

- PTC Industries has signed a MoU with BDL to establish a joint venture company dedicated to the design, development, and manufacture of complete propulsion systems, guided bombs, and aero-engines for missiles, UAVs, and loitering munition.
- PTC recently announced that the company (through its 100% subsidiary – Aerolloys Technologies) and **Safran Aircraft Engines** have signed a MoU to cooperate on manufacturing military aircraft engines.
- As per the agreement they will manufacture and supply titanium and super alloy castings and components for LEAP engines (for civil aircraft engine applications) and M88 engines (for military aircraft engine applications such as Rafale).
- The company signed a MoU with **Dassault Aviation** to evaluate the possibility of Dassault Aviation purchasing titanium and super alloy materials, components, and castings for the Rafale multi-role fighters and the other Dassault manufactured aircrafts.

Investment Summary

We reiterate BUY with an unchanged target price of INR 23,005, based on 50x FY28E earnings. At the target price, the stock is valued at 26x FY29E and 20x FY30E earnings, which is significantly lower than the global peer set—especially considering the fact that PTC's growth story will likely accelerate further beyond FY30E.

Market data

Sensex	:	80,723
Sector	:	Defence
Market Cap (INR bn)	:	270.5
Market Cap (USD bn)	:	2.941
O/S Shares (mn)	:	15.0
52-wk HI/LO (INR)	:	19440/9756
Avg. Daily Vol ('000)	:	16
Bloomberg	:	PTCIL IN

Source: Bloomberg

Valuation

	FY26e	FY27e	FY28e
EPS (INR)	65.3	197.0	460.1
PE (x)	276.3	91.5	39.2
P/BV (x)	18.2	15.4	11.4
EV/EBITDA (x)	133.8	58.1	26.9
Dividend Yield (%)	-	0.1	0.3

Source: Bloomberg

Returns (%)

	1m	3m	6m	12m
Absolute	(2)	4	22	22
Relative	4	9	22	17

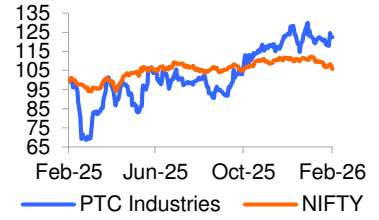
Source: Bloomberg

Shareholding pattern

Promoters	:	60%
Public	:	40%
Others	:	0%

Source: Bloomberg

Price performance *vs* Nifty



Source: Bloomberg Indexed to 100

Financials (PTC Industries)

Profit and loss account (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Net Revenue	**2,569**	**3,081**	**7,372**	**12,928**	**23,634**
Op. Expenses	1,842	2,328	5,356	8,316	13,809
EBITDA	**726**	**753**	**2,016**	**4,612**	**9,824**
Depreciation	166	213	710	809	838
EBIT	**560**	**540**	**1,305**	**3,803**	**8,986**
Other income	134	342	40	164	249
Interest Exp.	152	89	41	30	43
Extra Ordinary Items -gain/(loss)	-	(9.4)	-	-	-
Reported PBT	**541**	**783**	**1,304**	**3,936**	**9,192**
Tax	119	173	326	984	2,298
Reported PAT	**422**	**610**	**978**	**2,952**	**6,894**
Net Profit	**422**	**610**	**978**	**2,952**	**6,894**
Adjusted PAT	**422**	**620**	**978**	**2,952**	**6,894**
Adjusted EPS (INR)	**29.2**	**41.3**	**65.3**	**197.0**	**460.1**

Balance sheet (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Share Capital	144	150	150	150	150
Reserves & Surplus	6,312	13,717	14,695	17,423	23,568
Networth	**6,456**	**13,867**	**14,845**	**17,572**	**23,717**
Debt	1,819	608	508	458	533
Net deferred Tax liabilities	170	204	204	204	204
Other Non Current Liabilities		88	2,648	4,402	7,653
Capital Employed	**8,445**	**14,767**	**18,205**	**22,637**	**32,108**
Gross Fixed Assets	3,635	5,349	10,149	11,899	12,899
Accumulated Depreciation	1,307	1,520	2,231	3,040	3,878
Capital work in progress	1,587	1,849	2,549	1,799	1,299
Net Fixed Assets	**3,915**	**5,677**	**10,467**	**10,658**	**10,319**
Goodwill and Intangibles	-	648	631	631	631
Other Non Current assets		1,230	1,517	1,517	1,517
Investments	1	45	45	45	45
Non Current Investments	1	-	45	45	45
Current Investments	-	45	-	-	-
Current Assets, Loans & Adv.	**5,041**	**8,256**	**7,307**	**12,521**	**24,136**
Inventory	745	2,082	1,671	2,861	5,091
Debtors	1,109	1,438	3,030	4,250	7,770
Cash & Bank balance	1,578	3,818	1,091	2,930	6,743
Loans & adv. and other cur. assets	1,610	918	1,515	2,479	4,532
Current Liabilities & Provisions	**512**	**1,088**	**1,761**	**2,734**	**4,540**
Liabilities	496	1,068	1,729	2,684	4,457
Provisions	16	20	32	50	83
Net Current Assets	**4,529**	**7,168**	**5,546**	**9,787**	**19,596**
Application of Funds	**8,445**	**14,767**	**18,205**	**22,637**	**32,108**

Per share data

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
No. of shares (mn)	14	15	15	15	15
Diluted no. of shares (mn)	14	15	15	15	15
BVPS (INR)	447.1	925.4	990.7	1172.7	1582.8
CEPS (INR)	40.7	54.9	112.7	251.0	516.1
DPS (INR)	-	-	-	15.0	50.0

Source: Company, Antique

Cash flow statement (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
PBT	**541**	**783**	**1,304**	**3,936**	**9,192**
Depreciation & amortization	166	213	710	809	838
Interest expense	152	89	41	30	43
(Inc)/Dec in working capital	(1,216)	(398)	(1,105)	(2,402)	(5,997)
Tax paid	(119)	(173)	(326)	(984)	(2,298)
Less: Interest/Div. Income Rec.d	(134)	(342)	(40)	(164)	(249)
Other operating Cash Flow		(37)			
CF from operating activities	**(609)**	**136**	**584**	**1,226**	**1,530**
Capital expenditure	(1,110)	(1,976)	(5,500)	(1,000)	(500)
Inc/(Dec) in investments	(0)	(1,688)	1,514	975	2,922
Add: Interest/Div. Income Recd.	134	332	40	164	249
CF from investing activities	**(976)**	**(3,331)**	**(3,946)**	**139**	**2,671**
Inc/(Dec) in share capital	11	6,764	-	-	-
Inc/(Dec) in debt	52	(1,211)	(100)	(50)	75
Dividend Paid	(152)	-	(41)	(255)	(792)
Others	2,951	(117)	775	780	329
CF from financing activities	**2,862**	**5,436**	**635**	**475**	**(388)**
Net cash flow	**1,277**	**2,241**	**(2,727)**	**1,839**	**3,813**
Opening balance	301	1,578	3,818	1,091	2,930
Closing balance	**1,578**	**3,818**	**1,091**	**2,930**	**6,743**

Growth indicators (%)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Revenue (%)	17.2	19.9	139.3	75.4	82.8
EBITDA (%)	23.9	3.6	167.8	128.8	113.0
Adj PAT (%)	63.5	46.8	57.9	201.8	133.5
Adj EPS (%)	51.5	41.4	57.9	201.8	133.5

Valuation (x)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
PE (x)	617.0	436.2	276.3	91.5	39.2
P/BV (x)	40.3	19.5	18.2	15.4	11.4
EV/EBITDA (x)	372.4	354.8	133.8	58.1	26.9
EV/Sales (x)	105.3	87.6	36.5	20.7	11.3
Dividend Yield (%)	-	-	-	0.1	0.3

Financial ratios

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
RoE (%)	8.9	6.1	6.8	18.2	33.4
RoCE (%)	10.3	7.6	8.2	19.4	33.7
Asset/T.O (x)	0.4	0.3	0.5	0.7	0.9
Net Debt/Equity (x)	0.0	(0.2)	(0.0)	(0.1)	(0.3)
EBIT/Interest (x)	4.6	9.9	33.1	133.1	216.4

Margins (%)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
EBITDA Margin (%)	28.3	24.4	27.3	35.7	41.6
EBIT Margin (%)	21.8	17.5	17.7	29.4	38.0
PAT Margin (%)	15.6	18.1	13.2	22.6	28.9

Source: Company Antique

CMP	: INR 1,688
Reco	: BUY ↔
Target Price	: INR 2,453 ↔
Target Price Change	: No Change
Target FY28e P/E (x)	: 34
EPS Change FY26/ 27/ 28	: No Change

COMPANY UPDATE

Bharat Earth Movers

Mobility that defends

Bharat Earth Movers (BEML) is an Indian DPSU focusing on land mobility solutions and heavy engineering platforms. The company manufactures a wide range of products, including high-mobility vehicles, artillery support equipment, recovery vehicles, and engineering systems for the Indian Army, alongside metro coaches, mining equipment, and construction machinery for civilian use. BEML plays a critical role in India's defence ecosystem by providing indigenously designed ground platforms and logistics support systems, while also leveraging its dual-use engineering capabilities to serve infrastructure and industrial sectors. We have baked in 16% revenue CAGR over FY25-28E while earnings are expected to report 33% CAGR over FY25-28E. We have a BUY rating on the stock with a TP of INR 2,453, valuing it at 34x its FY28E EPS.

Amit Shah
+91 22 6911 3466
amit.shah@antiquelimited.com

Dhirendra Tiwari
+91 22 6911 3436
dhirendra.tiwari@antiquelimited.com

Healthy order book provides strong revenue booking visibility, pipeline equally promising

BEML reported steady order inflow of INR 27.1 bn (510% YoY) for 2QFY26, on account of large-ticket order finalization in manufacturing, supply, testing, and commissioning of complete fully functional LHB coaches worth INR 18.9 bn during the quarter. The company also intends to participate in MRVC's mega tender to supply and maintain 2,856 Vande Bharat suburban coaches worth INR 210 bn. Order book stands healthy at INR 163.4 bn providing strong 4.1x its TTM revenue visibility. Additionally, the order pipeline continues to remain robust with multiple metro segment tenders expected to be finalized. Also, management has visibility of INR 200 bn worth of orders to be finalized in the defence sector in the next five years comprising of Arjun Tank ARV order (INR 60 bn), APV tender of 5,000 vehicles (INR 40 bn), and HMV order (INR 8 bn). With the management targeting INR 20 bn revenue from defence in the near term, we expect revenue contribution from this segment to increase from 15% in FY24 to around 21% in FY28E, providing an opportunity to expand the margin in the medium term.

R&D – Indigenous engineering providing a competitive edge

R&D remains central to BEML's strategy, with sustained in-house efforts focused on product indigenization, platform upgrades and new product development across defence, rail, and mining segments. This emphasis on engineering capability enhances localization, reduces import dependence, and strengthens BEML's competitiveness in strategically sensitive and specification-intensive projects.

Mining – Steady demand from core infrastructure sectors

In the mining segment, BEML continues to benefit from demand for heavy earth-moving equipment such as dumpers, dozers, and excavators, largely driven by coal, mineral, and infrastructure activity. While mining is relatively smaller than rail and defence in the current mix, it remains a stable cash-generating business with replacement demand and scope for gradual expansion.

Investment Summary

BEML is a strong play on the mobility capex planned by the railways and metro, given its strong positioning on the metro coaches side of the business and the Vande Bharat sleeper coach manufacturing business. The company expects its defence division to do well given multiple large-ticket orders expected to be finalized in the near term. We have baked in 16% revenue CAGR over FY25-28E while earnings are expected to report 33% CAGR over FY25-28E. We have a BUY rating on the stock with a TP of INR 2,453, valuing it at 34x its FY28E EPS.

Market data

Sensex	:	80,723
Sector	:	Industrial
Market Cap (INR bn)	:	140.6
Market Cap (USD bn)	:	1.528
O/S Shares (mn)	:	83.3
52-wk HI/LO (INR)	:	2437/1173
Avg. Daily Vol ('000)	:	425
Bloomberg	:	BEML IN

Source: Bloomberg

Valuation

	FY26e	FY27e	FY28e
EPS (INR)	44.2	61.6	82.7
P/E (x)	38.2	27.4	20.4
P/BV (x)	4.4	3.9	3.3
EV/EBITDA (x)	23.4	17.3	13.2
Dividend Yield (%)	0.3	0.3	0.3

Source: Company, Antique

Returns (%)

	1m	3m	6m	12m
Absolute	(9)	(23)	(12)	(8)
Relative	(3)	(20)	(12)	(12)

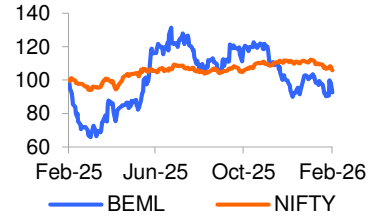
Source: Bloomberg

Shareholding pattern

Promoters	:	54%
Public	:	46%
Others	:	0%

Source: Bloomberg

Price performance *vs* Nifty



Source: Bloomberg Indexed to 100

Financials (BEML)

Profit and loss account (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Net Revenue	**40,543**	**40,222**	**44,352**	**52,363**	**62,844**
Op. Expenses	36,119	35,162	38,586	44,544	52,608
Gross Profit	19,593	20,075	22,132	26,181	30,793
EBITDA	**4,425**	**5,061**	**5,766**	**7,819**	**10,236**
Depreciation	637	713	780	858	944
EBIT	**3,787**	**4,348**	**4,986**	**6,961**	**9,292**
Other income	432	249	365	365	365
Interest Exp.	390	543	415	446	421
Reported PBT	**3,829**	**4,054**	**4,937**	**6,881**	**9,236**
Tax	999	1,112	1,244	1,734	2,328
Reported PAT	**2,830**	**2,942**	**3,693**	**5,147**	**6,909**
Net Profit	**2,830**	**2,942**	**3,693**	**5,147**	**6,909**
Adjusted PAT	**2,830**	**2,942**	**3,693**	**5,147**	**6,909**
Adjusted EPS (INR)	**33.9**	**35.2**	**44.2**	**61.6**	**82.7**

Balance sheet (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Share Capital	418	418	418	418	418
Reserves & Surplus	26,011	28,122	31,326	35,984	42,404
Networth	**26,428**	**28,540**	**31,744**	**36,402**	**42,822**
Debt	606	2,185	1,885	1,785	1,685
Net deferred Tax liabilities	(63)	(44)	(44)	(44)	(44)
Capital Employed	**26,972**	**30,681**	**33,585**	**38,143**	**44,463**
Gross Fixed Assets	9,960	11,192	12,266	13,447	14,747
Accumulated Depreciation	4,721	5,434	6,214	7,071	8,015
Capital work in progress	367	1,070	1,070	1,070	1,070
Net Fixed Assets	**5,606**	**6,828**	**7,122**	**7,446**	**7,802**
Investments	26	84	84	84	84
Non Current Investments	26	84	84	84	84
Current Assets, Loans & Adv.	**47,439**	**50,463**	**54,060**	**61,759**	**72,256**
Inventory	22,559	23,794	20,049	23,671	28,409
Debtors	20,910	22,089	20,657	24,388	29,270
Cash & Bank balance	87	50	8,357	7,802	7,499
Loans & advances and others	3,883	4,531	4,996	5,898	7,079
Current Liabilities & Provisions	**26,099**	**26,694**	**27,680**	**31,145**	**35,679**
Liabilities	20,975	21,421	22,212	24,689	27,931
Provisions	5,124	5,272	5,468	6,456	7,748
Net Current Assets	**21,339**	**23,769**	**26,379**	**30,614**	**36,578**
Application of Funds	**26,971**	**30,681**	**33,585**	**38,143**	**44,463**

Per share data

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
No. of shares (mn)	84	84	84	84	84
Diluted no. of shares (mn)	84	84	84	84	84
BVPS (INR)	316.3	341.6	380.0	435.7	512.6
CEPS (INR)	41.5	43.7	53.5	71.9	94.0
DPS (INR)	15.5	2.5	5.0	5.0	5.0

Source: Company, Antique

Cash flow statement (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
PBT	**3,829**	**4,054**	**4,937**	**6,881**	**9,236**
Depreciation & amortization	637	713	780	858	944
Interest expense	390	543	415	446	421
(Inc)/Dec in working capital	690	(2,448)	5,697	(4,790)	(6,267)
Tax paid	(999)	(1,112)	(1,244)	(1,734)	(2,328)
Other operating Cash Flow	(216)	(586)	-	-	-
CF from operating activities	**4,332**	**1,164**	**10,585**	**1,661**	**2,007**
Capital expenditure	(900)	(1,934)	(1,074)	(1,182)	(1,300)
Inc/(Dec) in investments	-	(58)	-	-	-
CF from investing activities	**(900)**	**(1,992)**	**(1,074)**	**(1,182)**	**(1,300)**
Inc/(Dec) in debt	(3,103)	1,579	(300)	(100)	(100)
Dividend Paid	(245)	(244)	(489)	(489)	(489)
Others	(390)	(543)	(415)	(446)	(421)
CF from financing activities	**(3,738)**	**792**	**(1,203)**	**(1,035)**	**(1,010)**
Net cash flow	**(305)**	**(37)**	**8,307**	**(556)**	**(303)**
Opening balance	392	87	50	8,357	7,802
Closing balance	**86**	**50**	**8,357**	**7,802**	**7,499**

Growth indicators (%)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Revenue	4.0	(0.8)	10.3	18.1	20.0
EBITDA	21.2	14.4	13.9	35.6	30.9
Adj PAT	78.2	3.9	25.5	39.4	34.2
Adj EPS	78.2	3.9	25.5	39.4	34.2

Valuation (x)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
P/E (x)	49.8	47.9	38.2	27.4	20.4
P/BV (x)	5.3	4.9	4.4	3.9	3.3
EV/EBITDA (x)	32.0	28.3	23.4	17.3	13.2
EV/Sales (x)	3.5	3.6	3.0	2.6	2.2
Dividend Yield (%)	0.9	0.1	0.3	0.3	0.3

Financial ratios

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
RoE (%)	11.2	10.7	12.3	15.1	17.4
RoCE (%)	11.5	11.6	12.5	15.3	17.5
Asset/T.O (x)	1.5	1.4	1.4	1.5	1.5
Net Debt/Equity (x)	0.0	0.1	(0.2)	(0.2)	(0.1)
EBIT/Interest (x)	10.8	8.5	12.9	16.4	22.9

Margins (%)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
EBITDA Margin (%)	10.9	12.6	13.0	14.9	16.3
EBIT Margin	9.3	10.8	11.2	13.3	14.8
PAT Margin	6.9	7.3	8.3	9.8	10.9

Source: Company Antique

CMP	: INR 1,337
Reco	: BUY ↔
Target Price	: INR 1,800 ↔
Target Price Change	: No Change
Target FY28e P/E (x)	: 30
EPS Change FY26/ 27/ 28	: No Change

COMPANY UPDATE

Zen Technologies

Spurt in order inflows aiding revenue visibility

Sanjeev B Zarbade
+91 22 6911 3421
sanjeev.zarbade@antiquelimited.com

Zen Technologies (Zen) is the market leader in land-based simulated training systems for the armed forces and is steadily building its credentials as a naval simulation solutions provider. It has also been an early mover in Anti-Drone Warfare Systems (ADS). While the demand outlook for simulators and ADS remains strong, 1HFY26 order finalization was delayed as the company prioritized emergency procurements to meet immediate operational requirements. However, the order win momentum has improved in recent weeks. The company has now announced an order win of INR 4.0 bn in the anti-drone segment, taking the total orders secured in 2HFY26 to INR 9.6 bn (estimated order book of INR 14.8 bn—up 120% over 1HFY26). It is also well-positioned for an additional order in the simulations segment. On this basis, we believe the company could end FY26E with a significantly stronger order book, materially enhancing its FY27E earnings visibility. After a projected decline in FY26E, we expect profits to grow 97.6% and 29.8% in FY27E and FY28E, respectively. We retain our earnings forecast and maintain BUY rating with an unchanged target price of INR 1,800 based on 30x FY28 earnings.

Orders inflow has gained traction in recent weeks

Zen's order inflows slowed down sharply in FY25 and 1HFY26. As a result, the company closed FY25 with an order book of INR 6.9 bn, down 50% over FY24. While it did lose some ADS orders, the primary reason for the sharp fall in order inflow was due to procedural delays from the ministerial side. Nevertheless, order inflows have now gained traction.

We estimate current order book of INR 14.8 bn, up 120% over 1HFY26

After a lull of new orders in 1HFY26, Zen has announced five orders totaling INR 9.6 bn. Consequently, the order book has expanded to INR 14.8 bn, a 120% rise over the closing order book in 1HFY26. The orders won include three ADS orders at INR 7.3 bn and one Tank Crew Gunnery Simulation system order. These orders are to be executed in 12 months.

Zen is well-positioned in simulation orders worth INR 5.0-6.0 bn

The company is strongly positioned in simulator orders worth INR 5.0-6.0 bn. These simulator orders have been long overdue, likely because the government may have prioritized emergency procurement over its regular annual purchase plan. With the government completing the emergency procurement of defence systems, we expect orders that may have been sidetracked, to be finalized. These orders are at the terminal stage of finalization, with the company having completed several rounds of contract negotiations.

Building capabilities in naval simulation

Zen has a very strong position in simulated training systems for the Indian Army. It is now building capabilities in simulation systems for the Indian Navy through the acquisition of ARIPL, market leader in domestic marine simulation systems. Recently, Zen acquired 76% stake in Anawave Systems, which is into advanced tactical training and simulation systems for naval forces.

Investment Summary

We remain positive on Zen's demand outlook for simulators and ADS, as order finalization have gained momentum in 2HFY26. The stock sentiment has been subdued in YTDFY26 due to weak revenue visibility from the current order book. However, Zen's order book at the end of FY26E and thereby the earnings outlook for FY27E could appear significantly stronger if the pending orders are finalized. We retain BUY rating with a price target of INR 1,800, valuing the stock at 30x FY28E earnings.

Market data

Sensex	:	80,723
Sector	:	Defence & Aerosp.
Market Cap (INR bn)	:	120.7
Market Cap (USD bn)	:	1.312
O/S Shares (mn)	:	90.3
52-wk HI/LO (INR)	:	2268/945
Avg. Daily Vol ('000)	:	466
Bloomberg	:	ZEN IN

Source: Bloomberg

Valuation

	FY26e	FY27e	FY28e
EPS (INR)	25.4	44.5	60.5
P/E (x)	52.6	30.1	22.1
P/BV (x)	6.2	5.1	4.1
EV/EBITDA (x)	40.0	21.5	15.2
Dividend Yield (%)	0.1	0.1	0.1

Source: Bloomberg

Returns (%)

	1m	3m	6m	12m
Absolute	(1)	(2)	(13)	(26)
Relative	5	2	(13)	(29)

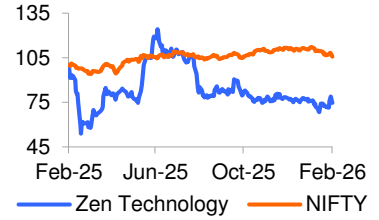
Source: Bloomberg

Shareholding pattern

Promoters	:	49%
Public	:	51%
Others	:	0%

Source: Bloomberg

Price performance *vs* Nifty



Source: Bloomberg Indexed to 100

Financials (ZEN Technologies)

Profit and loss account (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Net Revenue	**4,398**	**9,736**	**7,454**	**14,029**	**19,752**
Op. Expenses	2,591	6,001	4,710	8,978	12,839
EBITDA	**1,808**	**3,735**	**2,744**	**5,050**	**6,913**
Gross profit	2,681	6,285	5,374	8,698	12,049
Depreciation	97	154	249	277	307
Other income	149	584	845	1,031	1,198
EBIT	**1,860**	**4,165**	**3,340**	**5,804**	**7,804**
Interest Exp.	23	104	117	112	112
Extra Ordinary Items -gain/(loss)	24	-	-	-	-
Reported PBT	**1,837**	**4,061**	**3,223**	**5,692**	**7,692**
Tax	567	1,067	806	1,423	1,923
Reported PAT	**1,271**	**2,994**	**2,417**	**4,269**	**5,769**
Minority Int./Profit (loss) From Asso.	(16)	(190)	(124)	(254)	(305)
Net Profit	**1,255**	**2,804**	**2,293**	**4,014**	**5,464**
Adjusted PAT	**1,237**	**2,804**	**2,293**	**4,014**	**5,464**
Adjusted EPS (INR)	**13.7**	**31.1**	**25.4**	**44.5**	**60.5**

Balance sheet (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Share capital	84	90	90	90	90
Reserves & Surplus	4,579	17,269	19,506	23,594	29,182
Networth	**4,663**	**17,359**	**19,596**	**23,684**	**29,272**
Debt	60	777	-	-	-
Other Non Current Liabilities	0.5	2	2	1	1
Net deferred Tax liabilities	62	(44)	(44)	(44)	(44)
Capital Employed	**4,786**	**18,093**	**19,553**	**23,641**	**29,229**
Gross Fixed Assets	1,321	1,933	2,332	2,782	3,282
Accumulated Depreciation	455	623	872	1,149	1,456
Net Fixed Assets	866	1,310	1,460	1,633	1,826
Capital work in progress	**101**	**36**	**36**	**36**	**36**
Intangible Assets	76	809	809	809	809
Investments	-	40	40	40	40
Other Non Current Assets	365	2,594	2,594	2,594	2,594
Current Assets, Loans & Adv.	**6,096**	**15,657**	**15,703**	**20,358**	**26,723**
Inventory	1,691	1,193	919	1,730	2,435
Debtors	1,845	4,104	3,063	5,765	8,117
Bank Balance	1,215	8,916	8,916	8,916	8,916
Cash	367	742	2,103	3,246	6,554
Loans & advances and others	979	702	702	702	702
Current Liabilities & Provisions	**2,718**	**2,352**	**1,089**	**1,829**	**2,799**
Liabilities	2,652	2,042	779	1,519	2,489
Provisions	66	310	310	310	310
Net Current Assets	**3,378**	**13,305**	**14,614**	**18,529**	**23,924**
Application of Funds	**4,786**	**18,093**	**19,553**	**23,641**	**29,230**

Per share data

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
No. of shares (mn)	90.3	90.3	90.3	90.3	90.3
Diluted no. of shares (mn)	90.3	90.3	90.3	90.3	90.3
BVPS (INR)	51.6	192.3	217.0	262.3	324.2
CEPS (INR)	15.1	34.9	29.5	50.4	67.3
DPS (INR)	1.1	2.0	2.0	2.0	2.0

Source: Company, Antique

Cash flow statement (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
PBT	**1,844**	**4,061**	**3,223**	**5,692**	**7,692**
Depreciation & amortization	97	154	249	277	307
Interest expense	23	104	117	112	112
(Inc)/Dec in working capital	(1,405)	(2,093)	52	(2,773)	(2,088)
Tax paid	(321)	(1,166)	(806)	(1,423)	(1,923)
Less: Interest/Div. Income Recd.	149	(584)	(845)	(1,031)	(1,198)
Other operating Cash Flow	(253)	(1,939)	-	-	-
CF from operating activities	**134**	**(1,462)**	**1,990**	**855**	**2,902**
Capital expenditure	(284)	(361)	(400)	(450)	(500)
Inc/(Dec) in investments	236	(2,269)	0	-	-
Add: Interest/Div. Income Recd.	(805)	(5,601)	845	1,031	1,198
CF from investing activities	**(852)**	**(8,231)**	**445**	**581**	**698**
Inc/(Dec) in share capital	-	9,802	-	-	-
Inc/(Dec) in debt	(7)	717	(777)	-	-
Dividend Paid	(17)	(90)	(181)	(181)	(181)
Interest Paid	(12)	(104)	(117)	(112)	(112)
Others	4	(257)	-	-	-
CF from financing activities	**(33)**	**10,068**	**(1,075)**	**(293)**	**(293)**
Net cash flow	**(751)**	**375**	**1,361**	**1,143**	**3,307**
Opening balance	1,118	367	742	2,103	3,246
Closing balance	**367**	**742**	**2,103**	**3,246**	**6,554**

Growth indicators (%)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Revenue	101.0	121.4	-23.4	88.2	40.8
EBITDA	148.9	106.6	-26.5	84.0	36.9
Adj PAT	124.0	126.6	-18.2	75.1	36.1
Adj EPS	124.0	126.6	-18.2	75.1	36.1

Valuation (x)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
P/E (x)	97.6	43.1	52.6	30.1	22.1
P/BV (x)	25.9	7.0	6.2	5.1	4.1
EV/EBITDA (x)	65.9	29.9	40.0	21.5	15.2
EV/Sales (x)	27.1	11.5	14.7	7.7	5.3
Dividend Yield (%)	0.1	0.1	0.1	0.1	0.1

Financial ratios

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
RoE (%)	31.1	25.5	12.4	18.6	20.6
RoCE (%)	46.4	36.4	17.7	26.9	29.5
Asset/T.O (x)	1.3	1.0	0.5	0.8	0.9
Net Debt/Equity (x)	0.0	0.0	-	-	-
EBIT/Interest (x)	88.1	45.8	35.7	61.0	80.4

Margins (%)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
EBITDA Margin (%)	41.1	38.4	36.8	36.0	35.0
EBIT Margin	42.3	42.8	44.8	41.4	39.5
PAT Margin	28.1	28.8	30.8	28.6	27.7

Source: Company Antique

CMP	: INR 394
Reco	: BUY ↔
Target Price	: INR 740 ↔
Target Price Change	: No Change
Target FY28e P/E (x)	: 27
EPS Change FY26/ 27/ 28	: No Change

COMPANY UPDATE

Raymond

Ready for take off

The Raymond Group has been undergoing a transformation through value unlocking measures. The company has demerged and listed its Fabric (September 2024) and Realty businesses (July 2025). It has also strategically forayed into precision manufacturing for its auto and aerospace businesses. Raymond Ltd. now has three broad businesses—Automotive Components, Engineering Tools, and Aerospace. We expect Raymond to deliver consolidated revenue/ EBITDA/ PAT CAGR of 13.6%/ 33.5%/ 50.9% over FY26E–28E, with operating margin of 10.5%, 12.9%, and 14.7% in FY26E, FY27E, and FY28E, respectively. We value the company on SOTP basis and arrive at a revised target price of INR 740, implying 26.7x FY28E EPS. We retain BUY rating.

Sanjeev B Zarbade
+91 22 6911 3421
sanjeev.zarbade@antiquelimited.com

Amit Shah
+91 22 6911 3466
amit.shah@antiquelimited.com

Focused play on the auto components and aerospace business

Whilst Raymond is known as a textile brand, it always had a good presence in industrial tools (through subsidiary JK Files and Tools) and auto components (through step-down subsidiary—Ring Plus Aqua). In 2024-25, Raymond completed the integration of Maini Precision Products (MPPL), strengthening its presence in aerospace, defence, EV, and auto components. MPPL has a strong legacy in the precision manufacturing domain, with supplies to marquee names like Safran, GE, and Bosch. To sharpen execution, these businesses will be split into two focused entities: one for aerospace & defence (JK Maini Global Aerospace Ltd.) and another for auto components & engineering consumables (JK Maini Precision Technologies Ltd.). This will allow each vertical to operate with greater independence, build specialized teams, and deepen relations with relevant customers and suppliers. While the aerospace vertical will be the main growth driver, we expect the auto components/ engineering tools business to also deliver higher growth rates than historical levels, led by increased outsourcing from India and the increasing presence in EV/ hybrid models.

Strong tailwinds in the aerospace business

Despite being the one of the largest buyers of aircrafts in the world, the country accounts for only 1% of the global supply chain market, as per Aerospace India Association. With a higher thrust on local content, improving its manufacturing prowess, and the China + 1 strategy, we expect India to emerge as a favorable destination for sourcing of precision manufactured aerospace components. A case in point is Boeing: the company's annual sourcing from India has risen from USD 250 mn to USD 1.25 bn over nearly a decade, with supplier network expanding by 1.5x to 320.

Demand outlook for the aerospace business remains strong

The global aerospace components market is driven by higher Aircraft sales, increased frequency of engine replacement, and strong aftermarket demand. We understand that the traditional bastions of Aerospace component manufacturing—the US and EU—are not in a position to keep pace with demand, resulting in long order backlog delivery cycle. In this scenario, India is well-positioned to step in to ease the supply constraints. India's share in the global Aerospace components market is expected to grow from USD 1.5 bn to USD 4.0 bn by FY29, growing at 28% CAGR.

Investment Summary

We remain positive on the growth outlook in aerospace and auto component business. While the aerospace vertical will be the main growth driver, we expect the auto component/ engineering tools business to also deliver higher growth rates than historical levels, led by increased outsourcing from India and presence in EV/ hybrid models. A potential value unlocking is also lined up after the two businesses reach critical size and profitability milestones. We retain BUY.

Market data

Sensex	:	80,723
Sector	:	Defence & Aerospace
Market Cap (INR bn)	:	26.2
Market Cap (USD bn)	:	0.285
O/S Shares (mn)	:	66.6
52-wk HI/LO (INR)	:	784/361
Avg. Daily Vol ('000)	:	1,300
Bloomberg	:	RW IN

Source: Bloomberg

Valuation

	FY26e	FY27e	FY28e
EPS (INR)	12.2	18.7	27.7
P/E (x)	32.4	21.1	14.2
P/BV (x)	0.9	0.8	0.8
EV/EBITDA (x)	10.1	7.1	5.2
EV/Sales (x)	1.2	1.0	0.9

Source: Bloomberg

Returns (%)

	1m	3m	6m	12m
Absolute	(7)	(31)	(40)	(24)
Relative	(2)	(29)	(40)	(27)

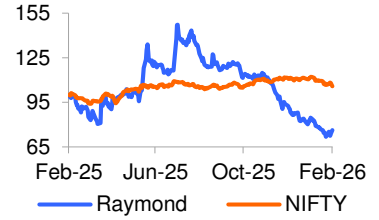
Source: Bloomberg

Shareholding pattern

Promoters	:	49%
Public	:	51%
Others	:	0%

Source: Bloomberg

Price performance *vs* Nifty



Source: Bloomberg Indexed to 100

Financials (Raymond)

Profit and loss account (INR mn)

Year ended 31 Mar	FY25	FY26e	FY27e	FY28e
Net Revenue	**19,468**	**22,793**	**25,933**	**29,399**
Op. Expenses	17,705	20,400	22,600	25,082
EBITDA	**1,764**	**2,394**	**3,333**	**4,317**
Gross profit	12,513	14,246	16,559	19,310
Depreciation	1,461	1,533	1,544	1,684
Other income	1,584	1,262	1,325	1,525
EBIT	**1,887**	**2,123**	**3,114**	**4,157**
Interest Exp.	653	806	586	450
Extra Ordinary Items -gain/(loss)	-	(1,674)	-	-
Reported PBT	**1,234**	**(358)**	**2,528**	**3,708**
Tax	263	(1,439)	642	927
Reported PAT	**971**	**1,081**	**1,886**	**2,781**
Minority Int.+ Profit (loss) From Asso.	(493)	(219)	(641)	(937)
Net Profit	**478**	**862**	**1,245**	**1,844**
Adjusted PAT	**478**	**810**	**1,245**	**1,844**
Adjusted EPS (INR)	**7.2**	**12.2**	**18.7**	**27.7**

Balance sheet (INR mn)

Year ended 31 Mar	FY25	FY26e	FY27e	FY28e
Share capital	666	666	666	666
Reserves & Surplus	40,910	29,298	31,184	33,965
Networth	**41,575**	**29,964**	**31,850**	**34,631**
Debt	7,403	7,403	6,882	6,382
Other Non Current Liabilities	2,411	705	280	280
Capital Employed	**51,390**	**38,072**	**39,012**	**41,292**
Gross Fixed Assets	13,991	14,991	16,991	18,991
Accumulated Depreciation	5,087	6,195	7,314	8,574
Capital work in progress	49	49	49	49
Net Fixed Assets	**8,953**	**8,845**	**9,725**	**10,466**
Goodwill	2,650	976	976	976
Intangibles	6,222	5,372	4,947	4,522
Investments	12,090	12,090	12,090	12,090
Other Non Current Assets	419	419	419	419
Current Assets, Loans & Adv.	**12,327**	**14,347**	**15,670**	**18,091**
Inventory	4,191	4,996	5,684	6,444
Debtors	4,056	4,996	5,684	6,444
Bank Balance	2,641	2,641	2,641	2,641
Cash	343	466	240	951
Loans & advances and others	1,095	1,249	1,421	1,611
Current Liabilities & Provisions	**3,944**	**4,403**	**4,816**	**5,271**
Liabilities	3,338	3,797	4,210	4,665
Provisions	606	606	606	606
Net Current Assets	8,383	9,945	10,854	12,819
Net assets included in disposal group held for distribution	12,673	-	-	-
Application of Funds	**51,390**	**37,647**	**39,012**	**41,292**

Per share data

Year ended 31 Mar	FY25	FY26e	FY27e	FY28e
No. of shares (mn)	66.6	66.6	66.6	66.6
Diluted no. of shares (mn)	66.6	66.6	66.6	66.6
BVPS (INR)	624.5	450.1	478.4	520.2
CEPS (INR)	36.5	26.0	34.2	44.5

Source: Company, Antique

Cash flow statement (INR mn)

Year ended 31 Mar	FY25	FY26e	FY27e	FY28e
PBT	**1,234**	**1,316**	**2,528**	**3,708**
Depreciation & amortization	1,461	1,533	1,544	1,684
Interest expense	653	806	586	450
(Inc)/Dec in working capital	19,009	(1,439)	(1,136)	(1,253)
Tax paid	(263)	(287)	(642)	(927)
Less: Interest/Div. Income Recd.	(1,584)	(1,262)	(1,325)	(1,525)
Other operating Cash Flow	(18,178)	-	-	-
CF from operating activities	**2,331**	**667**	**1,556**	**2,137**
Capital expenditure	(1,579)	(1,000)	(2,000)	(2,000)
Inc/(Dec) in investments	(2,323)	-	-	-
Add: Interest/Div. Income Recd.	1,584	1,262	1,325	1,525
CF from investing activities	**(2,318)**	**262**	**(675)**	**(475)**
Inc/(Dec) in debt	-	-	(521)	(500)
Interest Paid	(653)	(806)	(586)	(450)
Dividend Paid	(659)	-	-	-
Others	274	-	-	-
CF from financing activities	**(1,038)**	**(806)**	**(1,107)**	**(950)**
Net cash flow	**(1,024)**	**123**	**(226)**	**712**
Opening balance	1,367	343	466	240
Closing balance	**343**	**466**	**240**	**951**

Growth indicators (%)

Year ended 31 Mar	FY25	FY26e	FY27e	FY28e
Revenue	100.2	17.1	13.8	13.4
EBITDA	141.4	35.7	39.3	29.5
Adj PAT	-37.7	69.6	53.7	48.1
Adj EPS	-37.7	69.6	53.7	48.1

Valuation (x)

Year ended 31 Mar	FY25	FY26e	FY27e	FY28e
P/E (x)	54.9	32.4	21.1	14.2
P/BV (x)	0.6	0.9	0.8	0.8
EV/EBITDA (x)	13.7	10.1	7.1	5.2
EV/Sales (x)	1.3	1.2	1.0	0.9

Financial ratios

Year ended 31 Mar	FY25	FY26e	FY27e	FY28e
RoE (%)	1.1	3.0	6.1	8.4
RoCE (%)	3.7	4.7	8.1	10.4
Asset/T.O (x)	1.1	1.3	1.3	1.3
Net Debt/Equity (x)	(0.0)	(0.1)	(0.1)	(0.1)
EBIT/Interest (x)	5.3	4.2	7.6	12.6

Margins (%)

Year ended 31 Mar	FY25	FY26e	FY27e	FY28e
EBITDA Margin (%)	9.1	10.5	12.9	14.7
EBIT Margin	9.7	9.3	12.0	14.1
PAT Margin	2.5	3.6	4.8	6.3

Source: Company Antique

Important Disclaimer:

This report has been prepared by Antique Stock Broking Limited (hereinafter referred to as ASBL) to provide information about the company(ies) and/sector(s), if any, covered in the report and may be distributed by it and/or its affiliated company(ies).

ASBL is a Stock Broker having SEBI Registration No. INZ000001131 and Depository Participant having SEBI Registration No. IN-DP-721-2022(CDSL) registered with and regulated by Securities & Exchange Board of India. SEBI Registration Number: INH000001089 as per SEBI (Research Analysts) Regulations, 2014. CIN: U67120MH1994PLC079444.

ASBL and its affiliates are a full-service, integrated investment banking, investment management, brokerage and financing group.

This report is for personal information of the selected recipient/s and does not construe to be any investment, legal or taxation advice to you. This research report does not constitute an offer, invitation or inducement to invest in securities or other investments and ASBL is not soliciting any action based upon it. This report is not for public distribution and has been furnished to you solely for your general information and should not be reproduced or redistributed to any other person in any form. This report does not constitute a personal recommendation or take into account the particular investment objectives, financial situations, or needs of individual clients. Before acting on any advice or recommendation in this material, investors should consider whether it is suitable for their particular circumstances and, if necessary, seek professional advice. The price and value of the investments referred to in this material and the income from them may go down as well as up, and investors may realize losses on any investments. Past performance is not a guide for future performance, future returns are not guaranteed and a loss of original capital may occur.

We and our affiliates have investment banking and other business relationships with a some companies covered by our Research Department. Our research professionals may provide input into our investment banking and other business selection processes. Investors should assume that ASBL and/or its affiliates are seeking or will seek investment banking or other business from the company or companies that are the subject of this material and that the research professionals who were involved in preparing this material may educate investors on investments in such business. The research professionals responsible for the preparation of this document may interact with trading desk personnel, sales personnel and other parties for the purpose of gathering, applying and interpreting information. Our research professionals are paid on the profitability of ASBL which may include earnings from investment banking and other business.

ASBL generally prohibits its analysts, persons reporting to analysts, and members of their households from maintaining a financial interest in the securities or derivatives of any companies that the analysts cover. Additionally, ASBL generally prohibits its analysts and persons reporting to analysts from serving as an officer, director, or advisory board member of any companies that the analysts cover. Our salespeople, traders, and other professionals or affiliates may provide oral or written market commentary or trading strategies to our clients that reflect opinions that are contrary to the opinions expressed herein, and our proprietary trading and investing businesses may make investment decisions that are inconsistent with the recommendations expressed herein. In reviewing these materials, you should be aware that any or all of the foregoing among other things, may give rise to real or potential conflicts of interest. ASBL and its affiliated company(ies), their directors and employees and their relatives may; (a) from time to time, have a long or short position in, act as principal in, and buy or sell the securities or derivatives thereof of companies mentioned herein. (b) be engaged in any other transaction involving such securities and earn brokerage or other compensation or act as a market maker in the financial instruments of the company(ies) discussed herein or act as an advisor or lender/borrower to such company(ies) or may have any other potential conflict of interests with respect to any recommendation and other related information and opinions.; however the same shall have no bearing whatsoever on the specific recommendations made by the analyst(s), as the recommendations made by the analyst(s) are completely independent of the views of the affiliates of ASBL even though there might exist an inherent conflict of interest in some of the stocks mentioned in the research report.

Reports based on technical and derivative analysis center on studying charts company's price movement, outstanding positions and trading volume, as opposed to focusing on a company's fundamentals and, as such, may not match with a report on a company's fundamental analysis. In addition ASBL has different business segments / Divisions with independent research separated by Chinese walls catering to different set of customers having various objectives, risk profiles, investment horizon, etc, and therefore may at times have different contrary views on stocks sectors and markets.

Unauthorized disclosure, use, dissemination or copying (either whole or partial) of this information, is prohibited. The person accessing this information specifically agrees to exempt ASBL or any of its affiliates or employees from, any and all responsibility/liability arising from such misuse and agrees not to hold ASBL or any of its affiliates or employees responsible for any such misuse and further agrees to hold ASBL or any of its affiliates or employees free and harmless from all losses, costs, damages, expenses that may be suffered by the person accessing this information due to any errors and delays. The information contained herein is based on publicly available data or other sources believed to be reliable. Any statements contained in this report attributed to a third party represent ASBL's interpretation of the data, information and/ or opinions provided by that third party either publicly or through a subscription service, and such use and interpretation have not been reviewed by the third party. This Report is not intended to be a complete statement or summary of the securities, markets or developments referred to in the document. While we would endeavor to update the information herein on reasonable basis, ASBL and/or its affiliates are under no obligation to update the information. Also there may be regulatory, compliance, or other reasons that may prevent ASBL and/or its affiliates from doing so. ASBL or any of its affiliates or employees shall not be in any way responsible and liable for any loss or damage that may arise to any person from any inadvertent error in the information contained in this report. ASBL or any of its affiliates or employees do not provide, at any time, any express or implied warranty of any kind, regarding any matter pertaining to this report, including without limitation the implied warranties of merchantability, fitness for a particular purpose, and non-infringement. The recipients of this report should rely on their own investigations.

This report is intended for distribution to institutional investors. Recipients who are not institutional investors should seek advice of their independent financial advisor prior to taking any investment decision based on this report or for any necessary explanation of its contents.

ASBL and it's associates may have managed or co-managed public offering of securities, may have received compensation for investment banking or merchant banking or brokerage services, may have received any compensation for products or services other than investment banking or merchant banking or brokerage services from the subject company in the past 12 months.

ASBL and it's associates have not received any compensation or other benefits from the subject company or third party in connection with the research report.

Subject Company may have been a client of ASBL or its associates during twelve months preceding the date of distribution of the research report.

ASBL and/or its affiliates and/or employees and /or relatives may have interests/positions, financial or otherwise of over 1 % at the end of the month immediately preceding the date of publication of the research in the securities mentioned in this report. To enhance transparency, ASBL has incorporated a Disclosure of Interest Statement in this document. This should, however, not be treated as endorsement of the views expressed in the report.

There are no material disciplinary action that been taken by any regulatory authority impacting equity research analysis activities.

Stock Ratings

BUY (B): The stock's total return is expected to exceed 10% over the next 12 months.
HOLD (H): The stock's total return is expected to be within -10% to +10% over the next 12 months.
SELL (S): The stock's total return is expected to give negative returns of more than 10% over the next 12 months.
NOT RATED (NR): The analyst has no recommendation on the stock under review.

Analyst Certification

The views expressed in this research report accurately reflect the personal views of the analyst(s) about the subject securities or issues, and no part of the compensation of the research analyst(s) was, is, or will be directly or indirectly related to the specific recommendations and views expressed by research analyst(s) in this report. The research analysts, strategists, or research associates principally responsible for preparation of ASBL research receive compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors and firm revenues.

Disclosure of Interest Statement Companies where there is interest

- Analyst ownership of the stock - Yes for PTC Industries
- Served as an officer, director or employee - No

Regional Disclosures (outside India)

This report is not directed or intended for distribution to or use by any person or entity resident in a state, country or any jurisdiction, where such distribution, publication, availability or use would be contrary to law, regulation or which would subject ASBL & its group companies to registration or licensing requirements within such jurisdictions.

For U.S. persons only: This research report is a product of Antique Stock Broking Limited, which is the employer of the research analyst(s) who has prepared the research report. The research analyst(s) preparing the research report is/are resident outside the United States (U.S.) and are not associated persons of any U.S. regulated broker-dealer and therefore the analyst(s) is/are not subject to supervision by a U.S. broker-dealer, and is/are not required to satisfy the regulatory licensing requirements of FINRA or required to otherwise comply with U.S. rules or regulations regarding, among other things, communications with a subject company, public appearances and trading securities held by a research analyst account. This report is intended for distribution by Antique Stock Broking Limited only to "Major Institutional Investors" as defined by Rule 15a-6(b)(4) of the U.S. Securities and Exchange Act, 1934 (the Exchange Act) and interpretations thereof by U.S. Securities and Exchange Commission (SEC) in reliance on Rule 15a 6(a)(2). If the recipient of this report is not a Major Institutional Investor as specified above, then it should not act upon this report and return the same to the sender. Further, this report may not be copied, duplicated and/or transmitted onward to any U.S. person, which is not the Major Institutional Investor. In reliance on the exemption from registration provided by Rule 15a-6 of the Exchange Act and interpretations thereof by the SEC in order to conduct certain business with Major Institutional Investors, Antique Stock Broking Limited has entered into a chaperoning agreement with a U.S. registered broker-dealer, Marco Polo Securities Inc. ("Marco Polo"). Transactions in securities discussed in this research report should be effected through Marco Polo or another U.S. registered broker dealer.

Compliance/Grievance officer: Ms. Jayshree Thakkar, Contact No: 022-69113461, Email id: jayshree@antiquelimited.com/compliance@antiquelimited.com

Disclaimer that:

- Investment in securities market are subject to market risks. Read all the related documents carefully before investing.
- The securities quoted are for illustration only and are not recommendatory.
- Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors.

THE INVESTMENT TRUST OF INDIA ANTIQUE

Antique Stock Broking Limited
ITI House
36, Dr. R.K. Shirodkar Marg
Parel (East), Mumbai 400012
Tel. : +91 22 6911 3300 / +91 22 6909 3600
www.antiquelimited.com